DOCUMENT OF INTERNATIONAL MONETARY FUND
AND NOT FOR PUBLIC USE

0451

FOR AGENDA

EBS/94/150

CONFIDENTIAL

July 29, 1994

To: Members of the Executive Board

From: The Acting Secretary

Subject: Senegal - Request for Arrangements Under the Enhanced Structural Adjustment Facility

Attached for consideration by the Executive Directors is a request from Senegal for arrangements under the enhanced structural adjustment facility which, together with the policy framework paper for Senegal (EBD/94/129, 7/28/94), is tentatively scheduled for discussion on Monday, August 29, 1994. A draft decision appears on page 17.

Mr. Tahari (ext. 36682), Mr. Terrier (ext. 38432), or Mr. Zurbrugg (ext. 38027) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the African Development Bank (AfDB), the European Communities (EC), and the Islamic Development Bank (IsDB), following its consideration by the Executive Board.

Att: (1)

Other Distribution:
Departments Heads

CONFIDENTIAL

INTERNATIONAL MONETARY FUND

SENEGAL

Request for Arrangements Under the Enhanced Structural Adjustment Facility

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal, Monetary and Exchange Affairs, Policy Development and Review, Statistics, and Treasurer's Departments)

Approved by Evangelos A. Calamitsis and Anupam Basu

July 27, 1994

Contents

Contents Page

I. Introduction

In the attached letter dated July 1, 1994, the Minister of Economy, Finance, and Planning of Senegal requests a three-year arrangement under the enhanced structural adjustment facility (ESAF), in an amount equivalent to SDR 130.8 million (110 percent of quota), and the first annual arrangement thereunder, in an amount equivalent to SDR 47.6 million (40 percent of quota). 1/ Concurrently, the Senegalese authorities request the cancellation of the current one-year stand-by arrangement, in an amount equivalent to SDR 47.6 million (40 percent of quota), which was approved by the Executive Board on March 2, 1994, in support of the adjustment program adopted by the authorities soon after the devaluation of the CFA franc. The first purchase under the stand-by arrangement--equivalent to SDR 30.9 million (26 percent of quota)--was made upon Board approval of the arrangement.

The requested ESAF arrangements are in support of the policies and measures outlined in Senegal's framework paper (PFP) for July 1994-June 1997 (EBD/94/129, 7/28/94), which was prepared by the authorities in collaboration with the staffs of the Fund and the World Bank, and the memorandum on economic and financial policies for 1994/95 (Appendix II, Annex). The PFP was transmitted to the Managing Director of the Fund and to the President of the World Bank on July 1, 1994.

The proposed access under the requested ESAF arrangements takes into account the strength of Senegal's program and the prospects for regaining external viability over the medium term. As of June 30, 1994, Senegal's outstanding use of Fund resources amounted to the equivalent of SDR 199.6 million (167.9 percent of quota). If the full amount under the requested ESAF arrangements is disbursed, Senegal's use of Fund resources, taking into account scheduled repurchases and repayments, would increase to SDR 241.2 million (202.9 percent of quota) by end-June 1997 (Appendix I, Tables I and II).

The Fund and World Bank staffs have continued their close cooperation on Senegal. Earlier this year, the Bank approved an economic recovery credit in the amount of SDR 18.2 million, and negotiations are under way on an agricultural sector adjustment loan and a private sector adjustment and

---

1/ Discussions with the Senegalese authorities regarding this request were initiated in Dakar during the period May 4-21, 1994 and concluded at headquarters during the period May 31-June 20, 1994. The staff representatives were Mr. Tahari (head), Mr. Terrier, Mr. Peroz, Mr. Zurbrugg (all AFR), Mr. Rourke (PDR), and Ms. Linares (administrative assistant-AFR). Mr. Franco, the Fund's resident representative in Dakar, assisted the mission; and Mr. S. Thiam, the new representative, took part in the discussions at headquarters. World Bank staff participated in the discussions on the policy framework paper.

competitiveness loan. Senegal's relations with the Fund and the World Bank Group are summarized in Appendices III and IV, respectively.

II. Background and Performance During the First Half of 1994 1/

Senegal's economic and financial position deteriorated significantly in 1992 and the first half of 1993, as the impact of major policy slippages was compounded by delays in the implementation of structural reforms. The Government's overall financial operations reverted to deficits, the external imbalances widened, and there was a large accumulation of domestic and external payments arrears (Appendix I, Table III; and Chart 1). To arrest the deterioration, the Senegalese authorities adopted in late August 1993 a package of internal adjustment measures aimed at reducing the fiscal and external imbalances. 2/ Despite the authorities' efforts, however, Senegal's competitiveness and growth prospects remained very weak, and substantial financial difficulties and structural weaknesses persisted.

Faced with these serious economic difficulties, in early 1994 the authorities resolved to take all the necessary steps to achieve both sustainable economic growth and financial viability over the medium term. Accordingly, they adopted a strengthened adjustment strategy involving three main elements: (a) a 50 percent devaluation of the CFA franc (agreed in the context of the common monetary arrangements), which became effective on January 12, 1994; (b) the implementation of strong supporting fiscal and monetary policies, designed to keep inflation in check and ensure that the competitiveness of the economy is restored on a lasting basis; and (c) the acceleration of structural reforms, aimed at improving incentives for the private sector and promoting growth.

Immediately following the devaluation, the authorities implemented a fiscal package focused on reducing the Government's overall fiscal deficit (on a commitment basis and excluding grants) to the equivalent of 3.6 percent of GDP in 1994. On the revenue side, receipts were expected to benefit in 1994 from the full-year effect of the measures introduced in August 1993, 3/ as well as from the impact of the exchange rate change, particularly on import duties. Consistent with the program's objectives, in January 1994 the authorities reduced the maximum import duty rate from

---

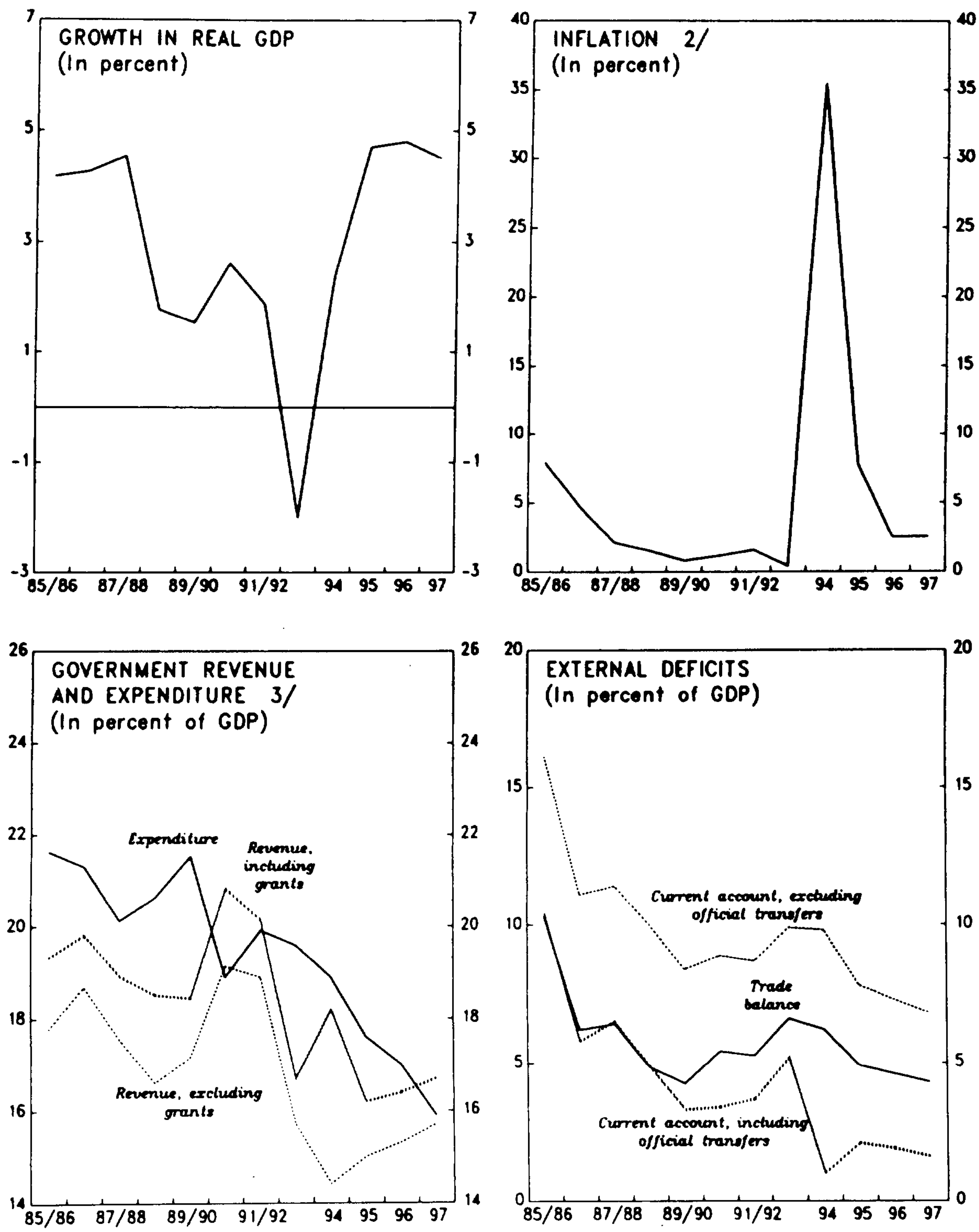
1/ Overall, Senegal's macroeconomic data base is comprehensive, but there are deficiencies in the methodologies for compiling the national accounts and the CPI data. The authorities are continuing their efforts to improve the data base, and a household statistical survey is being conducted.

2/ For a detailed presentation of these measures, see EBS/94/11, Supplement 1.

3/ The measures included a doubling of the stamp duty rate, the imposition of a duty on a number of previously tax-exempt imports, increases in petroleum prices, the extension of the VAT base, and the doubling of the equalization tax.

CHART 1

SENEGAL
MAIN ECONOMIC INDICATORS, 1985/86-1997 1/



Sources: Data provided by the Senegalese authorities; and staff estimates.

1/ Fiscal year ending June through 1991/92; calendar year starting 1993.
2/ Percentage change in GDP deflator.
3/ Central Government, on a commitment basis.

75 percent to 45 percent and established a minimum duty rate of 5 percent. In the area of domestic taxes, the existing system of five value-added tax (VAT) rates for nonpetroleum products was replaced by a system comprising only two rates (of 10 percent and 20 percent). Regarding petroleum products, the various VAT rates were replaced by a single rate of 20 percent, in combination with a lowering of the maximum import duty rate from 45 percent to 35 percent. On the spending side, the authorities maintained a very restrained stance. In particular, a prudent incomes policy was adopted. The wage agreements signed with the labor unions, in both the public and the private sectors, provided for individual wage increases varying between 5 percent and 20 percent; in the Central Government, the average increase in the wage bill, which became effective on April 1, 1994, was kept below 10 percent, in line with the program.

Developments under the program through end-March 1994 were encouraging. In the fiscal area, the benchmarks regarding government revenue and the wage bill were met. All the performance criteria--on net bank credit to the Government and the net domestic assets of the banking system, the minimum reduction in domestic and external payments arrears, and the zero limit on the Government's nonconcessional external borrowing and short-term credits--were also observed (Appendix I, Table IV). 1/ As to price developments, the cumulative increase in the consumer price index for Dakar was contained at 26 percent from end-December 1993 to end-March 1994; since then, inflation has abated, and the cumulative price increase was 28 percent by end-May 1994. There was also a significant pickup in tourism and export activities, as well as some capital reflows.

Although the benchmark for government revenue at end-March 1994 was met, data for the subsequent months pointed to a revenue shortfall for end-June. To a large extent, this shortfall originated in lower-than-projected customs receipts due in part to a lower-than-anticipated level of imports, as well as a change in import composition. The low level of imports in the first half of the year reflected a "wait-and-see" attitude on the part of the private sector and among importers, but it was also attributable to precautionary stockpiling of imports in the second half of 1993 in anticipation of the devaluation. The revenue shortfall was also associated with difficulties in revenue collection, particularly at the customs level, which prompted the authorities to take appropriate steps in June-July 1994 to strengthen customs administration. Faced with a poor revenue performance, the authorities have sought to strictly contain nonpriority government expenditure, in an effort to limit the deviations from the program. Spending on health and education was made as planned, while project implementation was slower than expected. However, during the second quarter of 1994 the revenue shortfall, compounded by delays in the disbursement of foreign aid, contributed to the accumulation of new external

---

1/ However, Senegal could not make the second purchase under the stand-by arrangement because of accumulation of new external payments arrears beginning in April 1994.

payments arrears and the nonobservance of the end-June performance criterion on the reduction of these arrears. Nonetheless, based on preliminary data, all other end-June performance criteria, including that on net bank credit to the Government, appear to have been observed; the benchmark on the wage bill was also met.

In the monetary area, sizable increases were registered in deposits with commercial banks, largely reflecting the growth of exports and the return of flight capital after the devaluation. Meanwhile, credit to the private sector remained virtually stagnant in the first quarter of 1994, resulting in a significant increase in the excess liquidity of commercial banks. In January 1994, the monetary authorities raised the discount rate by 4 points, to 14.5 percent, and the minimum rate on savings deposits by 3.5 points, to 8 percent. Although interest rates were negative in real terms in the period immediately following the devaluation, based on recent price increases and inflationary expectations, it appears that lending rates have now returned to positive levels.

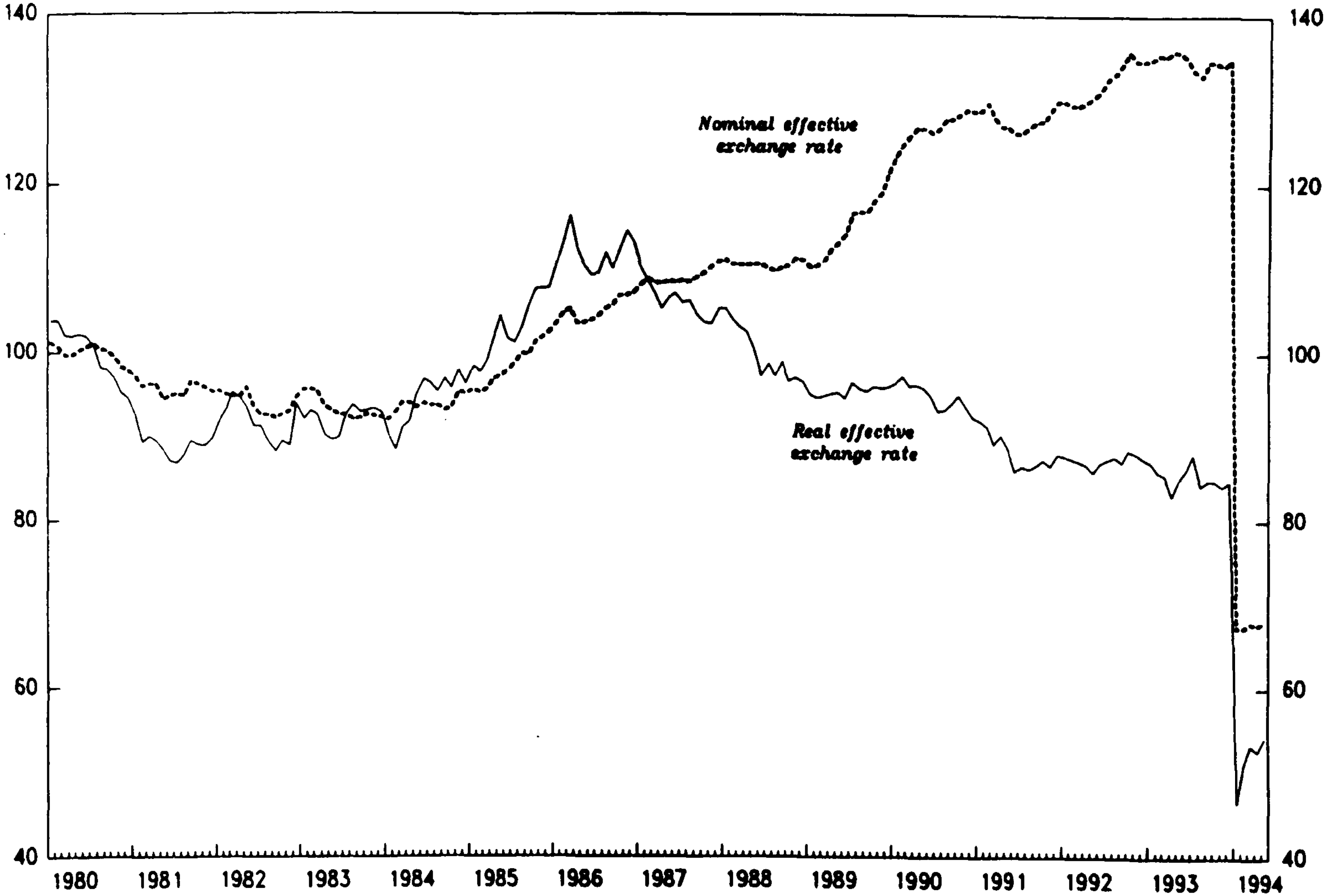
In the external sector, developments during the first half of 1994 were characterized by a significant improvement in the trade balance, in the context of the strong depreciation of the currency in real terms, with the real effective exchange rate declining by 36 percent between end-December 1993 and end-May 1994 (Chart 2). While exports and tourism receipts registered a significant increase, imports are estimated to have dropped appreciably. In the capital account, there was a sizable reflow of private capital held abroad, but there was a shortfall in loan disbursements owing to delays in reaching understandings with the World Bank on sectoral loans. In March 1994, as envisaged under the program, Paris Club creditors agreed to reschedule on concessional terms Senegal's obligations on its pre-cutoff-date debt. 1/ In addition, they agreed to defer to the first quarter of 1995 the payment of 75 percent of end-1993 arrears on post-cutoff-date debt. All together, these developments resulted in a larger-than-anticipated buildup of foreign reserves at the Central Bank.

The structural and social measures implemented in the first half of 1994 included appropriate producer and consumer pricing policies, as well as a social safety net aimed at mitigating price increases of essential commodities and increasing the allocations for basic health and education services. Effective January 18, 1994, the authorities increased producer prices for groundnuts, cotton, and rice, taking into account prices prevailing in international markets. In order to lower external protection and moderate the increase in domestic prices and costs, the devaluation was

---

1/ The March 1994 debt rescheduling agreement with Paris Club creditors provides for the rescheduling of all arrears at end-1993 and current maturities falling due during the period January 1, 1994-March 31, 1995 on pre-cutoff-date debt; arrears on post-cutoff-date debt are payable by December 31, 1994 (one quarter) and March 31, 1995 (three quarters). A detailed presentation is contained in SM/94/76.

CHART 2
SENEGAL
REAL AND NOMINAL EFFECTIVE EXCHANGE RATES
JANUARY 1980–MAY 1994
(Period average; 1980=100)



Source: IMF Information Notice System.

accompanied by reductions in import duties and domestic tax rates, as noted above. Taking these reductions into account, the administered prices of certain consumer goods and services were raised by up to 35 percent in January 1994. Meanwhile, social measures were adopted to limit the impact of the devaluation on the poorest and most vulnerable groups, with an amount of CFAF 15 billion being allocated in the 1994 government budget for this purpose; one third of this amount was spent by end-June.

Overall, during the first half of 1994 there were encouraging developments, but difficulties have also arisen. Against this background, the authorities decided to strengthen their adjustment measures to tackle these difficulties and ensure that the program objectives are achieved.

III. Medium-Term Adjustment Strategy and the 1994/95 Program

1. Strategy and objectives for 1994-97

At the time the program for 1994 was designed, the authorities had expressed their interest in replacing as soon as possible the stand-by arrangement from the Fund by a three-year arrangement under the ESAF. As initially envisaged, the authorities have now adopted a three-year macroeconomic and structural adjustment program covering the period July 1994-June 1997.

Since the 1994 program was formulated within a medium-term framework, the main features of the three-year structural adjustment program to be supported by the proposed ESAF--the medium-term strategy, as well as the quantitative objectives--are broadly similar to those outlined in the policy memorandum attached to the authorities' January 1994 letter of intent and presented in EBS/94/11, Supplement 1. In formulating their medium-term program, the focus of the authorities was thus on establishing a set of well-defined structural measures with a specific timetable for implementation, to complement the objectives and policies set out in the program supported by the stand-by arrangement. The medium-term projections presented in EBS/94/11, Supplement 1 were updated on the basis of the most recent available information and WEO assumptions, while broadly maintaining the original objectives.

The strengthened strategy, detailed in the PFP, aims at achieving both sustainable economic growth and financial viability over the medium term. The basic macroeconomic objectives for 1994-97 are as follows: (a) to resume a positive rate of real GDP growth in 1994 and achieve a growth rate of about 4.5-5 percent starting in 1995, which would allow per capita GDP to increase by some 2 percent a year; (b) to ensure that, after the initial wave of corrective price adjustments in 1994, inflation would return to the pre-devaluation low level of 2-3 percent by 1996; and (c) to reduce the external current account deficit (excluding official transfers) to less than 7 percent by 1997, a level consistent with external viability. 1/

The expected improvement in the competitiveness of the economy, following the devaluation and the measures outlined below, should lead to a return to strong and lasting economic growth spearheaded by the export-oriented sectors, tourism, and import substitution activities. The success of the program, particularly the aspects relating to economic growth, would also depend critically on boosting investment and savings. The authorities' program seeks to raise the investment-to-GDP ratio from 14 percent in 1993 to about 18 percent by 1997, while stressing improvement in its efficiency. Domestic savings would increase by about 6.5 percentage points of GDP, to 14 percent by 1997, reflecting essentially the improvement in the current fiscal balance but also the anticipated modest rise in private savings; the increase in public savings would account for 5 percentage points of GDP.

A detailed timetable for the macroeconomic and structural adjustment policies designed to achieve these objectives is set out in the matrix attached to the PFP. On the macroeconomic front, the pursuit of a restrained fiscal policy, aimed at a balanced budget by 1997 and surpluses thereafter, will remain the key element of the program. On the structural front, the program envisages a deepening and acceleration of reforms, particularly in the areas of liberalization of the regulatory framework, prices, and external trade, as well as in the agricultural and public enterprise sectors.

2. The program for 1994/95

Within this medium-term framework, the program to be supported by the first annual ESAF arrangement covers the period July 1994-June 1995, straddling two fiscal years (1994 and 1995). The program objectives remain broadly similar to those sought under the current stand-by arrangement. Specifically, the program aims at achieving a real GDP growth rate of 2.4 percent in 1994 and 4.7 percent in 1995; limiting the rate of inflation, as measured by the GDP deflator, to 35 percent in 1994 and then to 8 percent in 1995; and containing the external current account deficit (excluding official transfers) at 9.8 percent of GDP in 1994, before lowering it to 7.8 percent in 1995. Taking into account the projected net capital inflows, exceptional budgetary assistance and debt relief, the expected overall balance of payments surpluses would allow for an improvement in the gross foreign exchange position from the equivalent of 0.2 week of imports in 1993 to 2 weeks of imports in 1995.

1/ The original growth objectives were revised to slightly lower levels to take into account developments in the first half of 1994. The targeted external current account deficits were also revised downward, reflecting somewhat lower levels of imports.

An analysis of the key elements of the first-year program is provided in the following sections, while a more detailed description is presented in the authorities' memorandum on economic and financial policies for 1994/95 (Appendix II, Annex). The list of the prior actions is presented in paragraph 30 of the memorandum. The table on the performance criteria and benchmarks is annexed to the memorandum (Table 2).

a. Financial policies

The strengthening of the Government's budgetary position through lasting measures remains a key element of Senegal's adjustment strategy. Therefore, in formulating the first-year program, the focus was on identifying and adopting the fiscal measures that are required to compensate in large part for the government revenue shortfall registered during the second quarter of 1994, minimize the deviation from the original fiscal deficit target for 1994, and return in 1995 to a deficit level that is as close as possible to the one projected earlier. To these ends, the Government decided to implement a number of measures designed to improve revenue performance and achieve savings in budgetary spending during the remainder of 1994. The measures adopted by the Government, in addition to those described in the memorandum attached to the letter of intent of January 1994, are expected to limit the overall fiscal deficit (excluding grants) to 4.5 percent of GDP in 1994 and to 2.6 percent in 1995 (compared with the originally targeted levels of 3.6 percent and 2.1 percent, respectively) (Appendix I, Table V). These measures are to be reflected in a supplementary budget to be adopted as a prior action by the Government before end-July 1994. Moreover, the adoption by end-December 1994 of a budget for 1995 that is in conformity with the objectives of the program will constitute a structural performance criterion.

On the revenue side, because of the difficulties encountered in revenue performance during the second quarter of 1994, the lower-than-initially projected level of imports, and somewhat weaker economic activity, total revenue is now targeted to amount to CFAF 327 billion in 1994, as against CFAF 365 billion initially projected. Nevertheless, total revenue would still increase by about 28 percent relative to the 1993 level, and it is expected to rise further by 17 percent in 1995. The achievement of these revised revenue targets will hinge critically not only on the anticipated pickup in imports and economic activity in the second half of 1994 and 1995, but also on the strengthening of tax collection and the fight against tax fraud. In addition to the specific measures introduced in late 1993 and early 1994, the authorities are implementing a number of administrative measures aimed at improving the tax and customs administrations. At the same time, they are continuing the efforts that were initiated earlier this year to reduce exemptions and widen the VAT base. Moreover, the collection of income tax arrears is to be accelerated, and a system is to be put in place to ensure that the VAT on services provided to public entities is withheld by the latter for direct payment to the Treasury. While the harmonization of domestic taxation and customs' tariff regulations is proceeding in the context of the economic integration of the member countries of the West African Economic and Monetary Union (WAEMU), actions are also being undertaken with a view to replacing quantitative restrictions and prior import authorizations with duties and taxes of a temporary nature.

On the expenditure side, a major effort has been launched to achieve savings in the originally projected spending levels to compensate in large part for the shortfall in revenue. Accordingly, for 1994 total government spending is to be reduced by CFAF 32 billion, to CFAF 428 billion; for 1995, total outlays will also be reduced by 5 percent from the originally projected level, to CFAF 450 billion. The savings to be effected during the remainder of 1994 concern mainly transfers and other nonpriority current outlays (such as on travel, material and supplies), while the original budgetary allocations for health and education are to be maintained. Interest on the public debt and the level of investment are also estimated to be lower than initially projected. The wage bill will be limited to the original levels of CFAF 149 billion in 1994 (a 13 percent increase compared with 1993) and CFAF 160 billion in 1995. These levels take into account the adjustment in salaries to their pre-September 1993 level, which became effective in January 1994, as well as an additional average increase of about 10 percent, which became effective on April 1, 1994. New hiring is to be strictly limited so that the size of the civil service does not increase from its end-December 1993 level (of 67,100). Furthermore, as part of the ongoing reform of the civil service, an audit of the payroll files is to be undertaken in the second half of 1994, and its recommendations implemented before the end of the year. Regarding other current outlays, export subsidies have been eliminated, reflecting the increased profitability of the export sector, and the authorities have maintained the special allocations for social safety net measures. Under the program for 1994, capital spending would amount to CFAF 107 billion (up from CFAF 65 billion in 1993), with priority being given to infrastructure and the rural sector. After consultation with the World Bank, the Government will adopt by end-December 1994 a three-year public investment program covering the period 1995-97, which will give particular emphasis to high-yielding projects in the productive sectors.

The program envisages the elimination by end-1994 of all external payments arrears, including those that have been accumulated in recent months, as well as the repayment by end-June 1995 of CFAF 42 billion (out of a total of CFAF 47 billion at end-1993) in verified domestic arrears. The program also envisages that the Government will improve its position vis-à-vis the domestic banking system.

The authorities will continue to monitor fiscal performance very closely. The program includes quarterly targets for government revenue and the wage bill. Any shortfall in receipts or excess in the wage bill is to be offset by corrective measures. Furthermore, the fiscal implications of any adverse price shock would be compensated for by additional revenue or expenditure measures. Finally, any shortfall (beyond CFAF 20 billion in 1994, and CFAF 10 billion in the first half of 1995) in external financing would be offset by strengthened adjustments measures, and any excess (net of any amount used to accelerate the reduction of payments arrears) would be saved through appropriate downward adjustments in credit ceilings.

In the area of monetary policy, the authorities are determined to maintain a prudent stance, consistent with the program objectives, while addressing the issue of excess liquidity in the banking system that arose in the first half of 1994. The rate of growth of the money supply is projected at about 32 percent in 1994 and 19 percent in 1995, in line with the envisaged nominal GDP growth (Appendix I, Table VI). In terms of the beginning-of-period money stock, net bank credit to the Government is to be reduced by a little over 1 percent in 1994 and by close to 4 percent in 1995; while credit to the economy is expected to grow by about 18 percent and 9 percent, respectively. Credit policy will continue to be conducted in the context of the reform of monetary instruments undertaken by the Central Bank of West African States (BCEAO) in recent years. With the recent return to relative price stability, lending rates are now positive in real terms, even after the June 27 decision of the BCEAO to lower the rediscount rate by 2.5 percentage points, to 12 percent. The minimum savings rate was also lowered on July 8 by 3 percentage points to 5 percent. In addition, the monetary authorities have decided to proceed, effective in July 1994, with the securitization of the consolidated debt assumed by the Government in the context of the restructuring of the banking system. 1/ This will enable the banks to substitute 12-year securities with a fixed 5 percent interest rate for their nonremunerated reserves. The authorities expect that the securitization scheme will help absorb the excess liquidity in the banking system, and induce banks to become less reticent in their lending to the private sector, while maintaining prudential banking standards. They also expect that this measure, together with the recent lowering of the discount rate, could lead to somewhat lower lending rates, which could help promote the economic recovery.

b. Structural policies 2/

The adoption of a strong package of structural reforms is the cornerstone of the program to be supported by the ESAF. The reforms that are being implemented focus on three main areas: (i) liberalizing labor legislation, prices, and external trade; (ii) increasing the efficiency and diversification of the agricultural sector; and (iii) rationalizing public sector operations and stepping up the privatization process. In addition, the authorities are pursuing their reform efforts in the education, health and transport sectors.

1/ The consolidated debt represents claims of the BCEAO on the Government. The securities are rediscountable, and can be used to meet the reserve requirements and sold in a secondary market.

2/ More details are provided in the PFP and in the memorandum attached to the authorities' letter requesting the ESAF arrangements.

With regard to the regulatory environment, the authorities have started taking actions to reform the labor legislation. The decree establishing the monopoly position of the Office of Port Personnel is to be repealed in July 1994, and a draft law aimed at permitting enterprises to freely adjust their work force to their economic needs is to be adopted before end-1994. In the area of pricing policies, the program envisages the elimination of all price controls, with the exception of those on a few essential goods (bread, locally produced drugs, petroleum products), and public utilities. In June 1994 the prices of six commodities were liberalized, and by end-1994 the prices of four other items will also be freed. 1/ In the area of external trade, all remaining prior authorizations for imports and exports will be eliminated, except those required for public health and security reasons, the import authorizations for gold and silver bars and second-hand clothing, as well as export authorizations for precious metals and mineral products. As prior actions, 7 of the 17 products or groups of products subject to the system of prior import authorization, and 4 out of the 7 subject to prior export authorization were liberalized in June 1994.

In the agricultural sector, the authorities are implementing several reforms aimed at improving efficiency and encouraging diversification. The rice sector is to be entirely restructured by February 1996. In June 1994, the producer price of rice was liberalized; the rice mills of the Société d'aménagement et d'exploitation des terres du Delta (SAED) were sold to the private sector; and the Caisse de péréquation et de stabilisation des prix (CPSP) withdrew from the purchase and distribution of local rice. The role of SAED is to be limited mainly to carrying out a number of public service functions, notably the running of hydro-agricultural works, the management of irrigation facilities, and the maintenance of major roads. The CPSP will also abandon all activities in the distribution and marketing of imported rice. In the groundnut sector, the Société nationale de commercialisation des oléagineux du Sénégal (SONACOS) is to be offered for sale to the private sector by January 1995. With respect to the cotton sector, the restructuring of the textile fiber development company (SODEFITEX) will be pursued in the context of the 1992 plan aimed at reducing the company's costs and restoring its financial equilibrium in a lasting manner. Both the groundnut and cotton sectors have benefited from the devaluation and are registering surpluses. Producer prices for these two crops are now determined by a committee representing the farmers, the marketing agencies, and the Government, taking into account world market prices. Following the increases decided in January 1994, the producer price of cotton was further raised by 36 percent, to CFAF 150/kg, and that of groundnuts by 20 percent, to CFAF 120/kg, for the 1994/95 crop season. All other producer prices are freely determined in the market.

1/ The price of cooking oil will be liberalized by end-1994, as a structural performance criteria, and the wholesale price of rice will be liberalized by end-June 1995, as a structural benchmark.

Concerning public enterprises, the authorities decided to accelerate the privatization or the restructuring of a number of enterprises. In addition to the 4 enterprises in the agricultural sector referred to above, 12 other enterprises are to be privatized over the next three years, with the preparatory work for some of them already well advanced. 1/ Moreover, the restructuring of the Société nationale d'électricité (SENELEC) and the Société nationale d'exploitation des eaux du Sénégal (SONEES) is being pursued with the implementation of specific measures designed to reduce operating costs and improve management.

The authorities intend to play an active role in promoting regional trade, after the signing on January 10, 1994 and the subsequent ratification of the treaty establishing the West African Economic and Monetary Union (WAEMU). In this context, a regional initiative is under way to harmonize customs duties and indirect taxes. Furthermore, the Senegalese and the Gambian authorities are continuing to cooperate in implementing the agreement reached earlier this year in order to combat fraud and encourage legal trade between the two countries.

As to the exchange system, Senegal does not intend to introduce any restrictions on the making of payments and transfers for current international transactions; or to introduce any multiple currency practices; or to conclude any bilateral payments agreements with Fund members; or to impose import restrictions for balance of payments reasons. The authorities indicated that they plan to take the requisite steps, in concert with their partners in the WAEMU, so as to be able to accept the obligations of Article VIII, Sections 2, 3, and 4 of the Articles of Agreement of the Fund as soon as possible. They affirmed their intention to continue to implement the existing limits on foreign exchange allocations for travel in a flexible manner, with authorizations for larger amounts being granted for all bona fide cases. However, in view of their concern about possible capital flight and the use of the CFA franc for illegal external transactions, the authorities do not intend to resume soon the repurchase of CFA franc bank notes circulating outside the WAEMU area, which has been suspended since August 2, 1993 in accordance with the regulations of the BCEAO.

3. Medium-term balance of payments outlook and capacity to repay the Fund

The medium-term balance of payments projections presented in SM/94/11, Supplement 1 were updated, taking into account the most recent available information, the WEO projections, and the slightly revised macroeconomic framework adopted by the authorities (Appendix I, Tables VII and VIII). As anticipated in January 1994, the devaluation, accompanied by the measures described above, should contribute to the achievement of external viability by 1997. It is expected that a decline in the trade deficit, an increase in

1/ Further details are provided in the authorities' memorandum on economic and financial policies for 1994/95 (Appendix II, Annex, paragraphs 23-25).

tourism receipts, and higher net inflows of private transfers will bring about this improvement. The increase in export volume is projected to average 7 percent annually over the five-year period 1994-98. This growth is predicated largely on a pickup in the volume of traditional exports (groundnut products, fish, and phosphates), which will benefit from the devaluation. A sharp increase, albeit from low levels, is also expected for the volume of nontraditional exports, especially in the agro-industrial sector and textiles. The volume of imports is projected to decline by 8 percent in 1994 (instead of the originally projected drop of 3 percent), in response to the price effect of the devaluation and the restrictive demand policy being implemented, as well as the "wait-and-see" attitude taken by the private sector during the first half of the year. Subsequently, however, import volume would grow by 4.5 percent a year during 1995-98, with imports of capital goods registering the highest growth rate. The terms of trade are expected to remain virtually unchanged over the projection period.

Senegal will continue to rely heavily on concessional external assistance to finance investment projects. After taking into account projected disbursements of project aid and private capital inflows, the remaining financing requirements for the three-year period July 1994-June 1997 are expected to be covered by multilateral and bilateral aid, and debt rescheduling, as well as by disbursements under the requested ESAF arrangements from the Fund and sectoral loans from the World Bank. For the period covered by the first annual ESAF program (July 1994-June 1995), the needed financing totals CFAF 191.3 billion, and it is to be covered as follows: CFAF 55.3 billion in loans from multilateral institutions (World Bank and African Development Bank); CFAF 18.9 billion in grants from the European Union; CFAF 34.5 billion in official bilateral assistance; CFAF 9.4 billion in the form of debt reduction by France; and CFAF 73.2 billion in debt rescheduling from Paris Club and other official bilateral and private creditors, of which CFAF 42.4 billion has already been secured as a result of the March 1994 Paris Club agreement. Progress has been made in processing Senegal's request for an IDA-financed commercial bank debt reduction operation, which is being actively considered by the World Bank. 1/ The Government has also approached Paris Club creditors for a multiyear rescheduling after the expiration of the current Paris Club consolidation period at end-March 1995.

To illustrate the sensitivity of the projections to the underlying assumptions, particularly for the terms of trade, alternative scenarios have been prepared. They show that if the prices of groundnut exports were on average 10 percent lower than projected, the external current account deficit would widen by the equivalent of 3/4 of 1 percentage point of GDP by 1998. Alternatively, if the prices of fish exports were 10 percent lower

---

1/ The status of this operation will be assessed at the time of the review of the program.

than in the baseline scenario, the external current account deficit would widen by 1/2 of 1 percentage point of GDP.

To assess Senegal's long-term capacity to repay the Fund, the baseline and alternative scenarios have been extended to 2007. Payments to the Fund are expected to peak in 1997 when repurchases, repayments and charges will amount to SDR 49.1 million, equivalent to 23 percent of total debt service (Appendix I, Tables IX and X). By the year 2003, debt service to the Fund would decline to SDR 27.5 million (13 percent of total debt service), before dropping to zero by the end of 2007. As external financing is expected to remain on concessional terms, with a significant proportion in the form of grants, the debt service ratio is projected to decline from 22.5 percent in 1993 to 17 percent in 1997, and then to 13 percent in 2003. Repayments to the Fund would remain relatively small in relation to projected exports of goods and nonfactor services. In view of this, the anticipated improvement in Senegal's balance of payments and fiscal positions, and its good record of payments to the Fund, Senegal can be expected to continue to meet its future obligations to the Fund in a timely manner.

4. Social and environmental aspects

The social and environmental aspects of the program are presented in detail in the PFP (Sections IV and V, respectively). The strategy of the Government aims at increasing the standard of living of the population and reducing poverty. The anticipated recovery in economic activity should create new productive jobs and benefit a large part of the population in the medium term. In the short term, efforts are being made to protect the poorest and most vulnerable groups, and to reduce the social costs associated with some of the policy measures called for by the adjustment strategy. The Government has set aside funding under the budget (CFAF 15 billion in 1994 and CFAF 10 billion each in 1995 and 1996 as planned initially) for social safety net measures, aimed in particular at mitigating price increases of sensitive products for low-income households (bread, rice, and pharmaceuticals). Part of that funding is also earmarked to improve the availability of basic social services in the areas of health and education. Environmental concerns are also an integral part of Senegal's development strategy. Policies in this area are focusing on halting land degradation and improving management of natural resources and the urban environment.

IV. Staff Appraisal

The Senegalese economy is at a critical juncture. The devaluation of the CFA franc earlier this year opened the way for Senegal to improve its external competitiveness and lay the basis for a durable resumption of growth and a return to external viability. The major challenge to the authorities lies in ensuring full implementation of all the financial and structural policies that are required to achieve these objectives.

During the first six months that followed the devaluation, there have been encouraging developments, but some difficulties have arisen in the implementation of the 1994 program supported by the one-year stand-by arrangement that was approved by the Fund in March 1994.

On the positive side, all the benchmarks and performance criteria for end-March 1994 were observed. The authorities have implemented a package of fiscal measures aimed at enhancing government revenue and containing spending. They have pursued a restrained wage policy, and the agreement that they concluded with the trade unions limited the average wage increase to less than 10 percent, effective April 1, 1994, in line with the program. The authorities have also raised producer and consumer prices to reflect the impact of the devaluation. From December 1993 through May 1994, the cumulative increase in the consumer price index was contained at 28 percent, with prices rising by only 1 percent a month since April. The real effective exchange rate declined by 36 percent during the first five months of 1994. Meanwhile, there have been encouraging signs of expansion in tourism and export activities, coupled with significant capital inflows.

In spite of these positive developments, a number of difficulties have arisen. First, there has been a "wait-and-see" attitude on the part of the private sector and among importers, and overall economic activity has not shown a noticeable improvement. Second, a lower-than-anticipated level of imports, combined with poor revenue collection, led to a sizable shortfall in government revenue in the second quarter of the year. Third, there has been a buildup of excess liquidity in the banking system, explainable in part by the return of flight capital, the relatively high nominal interest rates, weak demand for credit, and a very cautious stance taken by commercial banks. Fourth, there have been delays in disbursements of external program aid, which, together with the revenue shortfall, contributed to the nonobservance of the end-June performance criteria on the reduction of external payments arrears and the nonaccumulation of new ones. All other end-June performance criteria are nonetheless estimated to have been met.

Against this background, the authorities have resolved to strengthen their adjustment strategy. This is reflected in the three-year macroeconomic and structural adjustment program, covering the period July 1994-June 1997, that has been adopted by the Government. In support of this program, as initially envisaged, Senegal has requested a three-year arrangement under the ESAF, and the concurrent cancellation of the present stand-by arrangement.

The medium-term structural adjustment program is designed to ensure a return to a path leading to sustainable growth and external viability, as well as a return to the pre-devaluation low inflation rate. In order to achieve these objectives, the Government will need to persevere with the full implementation of the financial and structural measures envisaged under the program, and to stand ready to take any additional actions that may be required in light of changing circumstances.

First, it will be essential for the Government to avoid any further slippages in the fiscal area. Most of all, the success of the authorities' efforts will be measured by their ability to improve durably revenue performance. The anticipated pickup in imports and in economic activity in the second half of 1994 and in 1995 will undoubtedly play an important role in achieving the revised revenue targets. However, meeting these targets will also depend crucially on the authorities' success in strengthening the tax and customs administration, and combatting tax fraud. The authorities should also be prepared to take additional revenue-raising measures should any shortfall emerge in the period ahead. On the spending side, the Government has pursued a restrained stance so far, and should continue to do so and adhere strictly to the agreed policies, particularly in controlling the wage bill.

Second, a prudent credit policy consistent with the program objectives should be pursued. The authorities hope that their decision to introduce the securitization of the consolidated debt assumed by the Government would help mop up the excess liquidity in the banking system. This is a welcome step, but it could have been better structured, consistent with the authorities' commitment to a market-determined system of monetary management. The securitization scheme, together with the recent reduction in key interest rates, could lead to somewhat lower lending rates, which could help promote the economic recovery. With inflation abating, lending rates are expected to remain positive in real terms. For the medium-term, it will be important for the authorities to develop their indirect instruments of monetary management, and for all countries in the Union to coordinate their monetary and other policies.

Third, the attainment of the program objectives will also depend importantly on the effective implementation of the envisaged structural reforms. Senegal's new competitive edge cannot translate into a sustained pickup of production, exports, and job creation without determined actions to increase the flexibility of the factors of production and maximize their effective use. The actions that are being implemented to liberalize labor legislation, prices, and the external trade aim at eliminating, to the extent possible, the impediments to private sector initiative. The ongoing reforms in the agricultural sector, designed to widen the role of the private sector and market mechanisms, are essential to increasing and diversifying production. Vigorous pursuit of the ongoing reform of the public enterprise sector, in particular by expediting privatizations and restructuring, would further enhance resource allocation and reduce the sector's burden on the government budget.

The authorities have reiterated their determination to implement the adjustment program effectively and take full advantage of the devaluation. Considering the risks involved, particularly with regard to government revenue performance and the evolution of the terms of trade, some precautions have been taken in the program to help ensure the realization of its objectives. More importantly, however, the Government should stand ready to take any additional measures that may be required by changing circumstances. The success of the program will also depend on the timely availability of external financial assistance, including debt relief, in appropriate amounts and on concessional terms.

Senegal continues to avail itself of the transitional arrangements under Article XIV, Section 2, but intends to maintain an exchange system that is free of restrictions on the making of payments and transfers for current international transactions. The staff will keep under active review developments in Senegal's exchange system that may involve Fund jurisdiction; and urges Senegal to accept the obligations of Article VIII, Sections 2, 3, and 4 at an early date.

In light of the strength of the proposed adjustment program and the prior actions already implemented, the staff recommends approval by the Executive Board of the requested arrangements under the enhanced structural adjustment facility.

V. Proposed Decision

In view of the foregoing, the following draft decision is proposed for adoption by the Executive Board:

Senegal - Request for ESAF Arrangements and Cancellation of the Stand-By Arrangement

1. The Government of Senegal has requested a three-year arrangement under the enhanced structural adjustment facility, and the first annual arrangement thereunder.

2. The Fund notes the policy framework paper for Senegal set forth in EBD/94/129; and the cancellation by Senegal, effective ...., 1994, of its stand-by arrangement (EBS/94/11, Supplement 2).

3. The Fund approves the arrangements set forth in EBS/94/150.

Table I. Senegal: Fund Position During the Period of the ESAF Arrangement, July 1994-June 1997

	Outstanding at June 30, 1994	1994		1995				1996				1997	
		July-Sept.	Oct.-Dec.	Jan.-Mar.	Apr.-June	July-Sept.	Oct.-Dec.	Jan.-Mar.	Apr.-June	July-Sept.	Oct.-Dec.	Jan.-Mar.	Apr.-June
							(In millions of SDRs)						
Net use of Fund credit		13.04	-7.23	27.94	-9.36	20.80	-11.49	20.80	-11.49	14.86	-13.19	14.86	-17.91
Transactions under tranche policies		-0.63	--	--	--	--	--	--	--	--	--	--	-3.86
Purchases		--	--	--	--	--	--	--	--	--	--	--	--
Ordinary resources		--	--	--	--	--	--	--	--	--	--	--	--
Borrowed resources		--	--	--	--	--	--	--	--	--	--	--	--
Repurchases		-0.63	--	--	--	--	--	--	--	--	--	--	-3.86
Ordinary resources		--	--	--	--	--	--	--	--	--	--	--	-3.86
Borrowed resources		-0.63	--	--	--	--	--	--	--	--	--	--	--
Transactions under special facilities		--	--	--	--	--	--	--	--	--	--	--	--
Loans under		13.67	-7.23	27.94	-9.36	20.80	-11.49	20.80	-11.49	14.86	-13.19	14.86	-14.04
Structural adjustment facility		--	-4.26	--	-4.26	--	-4.26	--	-4.26	--	-4.26	--	-2.55
Drawings		--	--	--	--	--	--	--	--	--	--	--	--
Repayments		--	-4.26	--	-4.26	--	-4.26	--	-4.26	--	-4.26	--	-2.55
Enhanced structural adjustment facility		13.67	-2.98	27.94	-5.11	20.80	-7.23	20.80	-7.23	14.86	-8.94	14.86	-11.49
Drawings		16.65	--	30.91	--	23.78	--	23.78	--	17.84	--	17.84	--
Repayments		-2.98	-2.98	-2.98	-5.11	-2.98	-7.23	-2.98	-7.23	-2.98	-8.94	-2.98	-11.49
Total Fund credit outstanding	199.62	212.66	205.42	233.36	224.00	244.80	233.31	254.11	242.62	257.48	244.29	259.14	241.24
Under tranche policies	31.54	30.91	30.91	30.91	30.91	30.91	30.91	30.91	30.91	30.91	30.91	30.91	27.05
Under special facilities	--	--	--	--	--	--	--	--	--	--	--	--	--
Under structural adjustment facility	26.39	26.39	22.13	22.13	17.87	17.87	13.62	13.62	9.36	9.36	5.11	5.11	2.55
Under enhanced structural adjustment facility	141.69	155.36	152.38	180.32	175.21	196.01	188.78	209.58	202.35	217.20	208.27	223.12	211.64
							(In percent of quota)						
Total Fund credit outstanding	167.89	178.85	172.77	196.27	188.39	205.89	196.23	213.72	204.06	216.55	205.46	217.95	202.89
Under tranche policies	26.53	26.00	26.00	26.00	26.00	26.00	26.00	26.00	26.00	26.00	26.00	26.00	22.75
Under special facilities	--	--	--	--	--	--	--	--	--	--	--	--	--
Under structural adjustment facility	22.19	22.19	18.61	18.61	15.03	15.03	11.46	11.46	7.87	7.87	4.30	4.30	2.15
Under enhanced structural adjustment facility	119.17	130.66	128.16	151.65	147.36	164.85	158.77	176.27	170.18	182.68	175.16	187.66	177.99

Source: IMF, Treasurer's Department.

Table II. Senegal: Proposed Schedule of Disbursements Under the Three-Year ESAF Arrangement, 1994-97

Amount	Available Date	Conditions necessary for purchase 1/
SDR 16.65 million	Upon Executive Board approval	Executive Board approval of the three-year and first annual arrangements.
SDR 30.91 million	March 15, 1995	Observance of the performance criteria for December 31, 1994, and completion of the midterm review under the arrangement.
SDR 23.78 million	September 15, 1995	Executive Board approval of second annual arrangement.
SDR 23.78 million	March 15, 1996	Observance of the performance criteria for December 31, 1995, and completion of the midterm review under the arrangement.
SDR 17.835 million	September 15, 1996	Executive Board approval of third annual arrangement.
SDR 17.835 million	March 15, 1997	Observance of the performance criteria for December 31, 1996, and completion of the midterm review under the arrangement.

Source: International Monetary Fund.

1/ Other than generally applicable conditions under the ESAF arrangements, including the performance clause on the exchange and trade system.

Table III. Senegal: Selected Economic and Financial Indicators, 1992-97

	1992	1993	1994 Prog.	1994 Rev. prog.	1995	1996 Program	1997
	(Annual percentage change)						
National income and prices							
GDP at constant prices	2.9	-2.0	2.7	2.4	4.7	4.8	4.5
GDP deflator	1.5	0.4	35.4	35.4	7.8	2.5	2.5
Consumer prices 1/	--	-0.7	39.1	39.1	7.8	2.5	2.5
External sector							
Exports, f.o.b. (in SDRs)	-2.4	-12.4	3.0	6.5	13.5	7.3	7.9
Imports, f.o.b. (in SDRs)	4.6	-7.4	-5.9	-8.4	7.5	5.9	6.2
Export volume	-6.4	-8.1	6.8	5.6	9.0	7.3	6.0
Import volume	3.0	-4.7	-3.0	-8.3	6.5	4.0	3.9
Terms of trade (deterioration -)	0.8	-1.1	--	2.0	1.9	-1.6	-0.5
Nominal effective exchange rate 2/	3.7	0.2	...	-49.8	...	...	...
Real effective exchange rate 2/	-0.4	-3.1	...	-36.3	...	...	...
Government financial operations							
Revenue	-3.9	-12.8	42.6	27.8	17.2	9.8	9.7
Total expenditure and net lending	15.0	-9.7	40.6	33.8	5.2	3.7	0.2
Money and credit							
Net domestic assets 3/	0.6	-4.5	21.3	17.0	5.0	4.0	4.9
Of which: Credit to the Government (net)	(-8.0)	(-6.6)	(-3.1)	(-1.4)	(-3.7)	(-4.1)	(-3.1)
Credit to the economy	(6.8)	(3.3)	(24.4)	(18.4)	(8.7)	(8.1)	(8.1)
Money and quasi-money (M2)	3.6	-12.6	34.2	32.4	18.7	12.9	9.0
Interest rates (end of period)							
Minimum rate on time deposits 4/	11.0	10.5	...	...	...	...	...
Money market rate for overnight deposits	10.1	8.4	...	...	...	...	...
	(In percent of GDP, unless otherwise indicated)						
Overall fiscal surplus or deficit (-)							
Commitment basis, excluding grants	-3.7	-3.9	-3.6	-4.5	-2.6	-1.7	-0.2
Commitment basis, including grants	-2.4	-2.9	-2.3	-0.7	-1.4	-0.6	0.8
Payments arrears of the Government and public agencies (stock at end of period)	4.8	8.2	0.6	0.7	--	--	--
Gross domestic investment	13.4	14.1	15.7	15.1	15.5	16.7	17.8
Gross domestic savings	7.2	7.4	9.1	9.3	11.2	12.6	14.0
External current account deficit (-)							
Excluding official transfers	-9.3	-9.9	-10.7	-9.8	-7.8	-7.3	-6.8
Including official transfers	-4.3	-5.2	-4.3	-1.0	-2.1	-1.9	-1.6
External debt 5/	54.2	64.4	95.8	90.1	83.8	82.0	78.3
Debt service ratio 6/	22.7	22.5	20.7	18.9	17.7	17.1	17.0
GDP at current market prices (in billions of CFA francs)	1,661.4	1,634.2	2,333.5	2,266.1	2,558.1	2,748.1	2,943.0
Overall balance of payments surplus or deficit (-) (in millions of SDRs) 7/	-58.9	-174.5	-96.5	73.0	-36.2	-10.8	19.4
Gross official foreign reserves (in weeks of imports)	0.6	0.2	0.3	0.2	2.0	6.3	5.9

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Index of consumer prices in Dakar.
2/ End of period data (depreciation -). For 1994, data correspond to 12-month change through end-May.
3/ Changes in percent of beginning-of-period money stock.
4/ Minimum rate on time deposits in excess of one year and in amounts of more than CFAF 2 million.
5/ Public and publicly guaranteed debt, including Fund credit and central bank liabilities.
6/ In percent of exports of goods, services, and private transfers. Before debt rescheduling, but after debt cancellation obtained through 1993.
7/ For 1992 and 1993, after debt rescheduling (secured and requested), and debt cancellation; for 1994-97, before debt rescheduling and debt cancellation.

Table IV. Senegal: Performance Criteria and Benchmarks Under the Stand-By Arrangement, 1994

	Amounts at end-1993		Changes from January 1, 1994 to end-1994					
			March			June		
	F 1 = CFAF 50	F 1 = CFAF 100	Prog.	Adj. prog. 1/	Act.	Prog.	Adj. prog. 1/	Prel. Est.
A. Financial performance criteria			(In billions of CFA francs)					
1. Credit to the Central Government (net) 1/	264.9	362.0	7.2	4.9	-7.5	--	10.0	9.8
2. Net domestic assets of the banking system 1/	557.9	655.0	51.1	48.8	-19.2	52.1	62.1	10.7
3. Payments arrears of the Central Government and public entities								
Domestic	47.0	47.0	-6.0	-6.0	-6.5	-15.0	-15.0	-15.5
External	87.1	174.2	-104.2	-104.2	-105.4	-116.3	-116.3	-92.3
4. New external borrowing contracted or guaranteed by the Central Government on nonconcessional terms								
Between 1 year and 15 years 2/	--	--	--	--	--	--	--	--
Short-term (less than 1 year) 3/	--	--	--	--	--	--	--	--
B. Financial benchmarks								
1. Total government revenue (cumulative)	255.9	255.9	69.2	69.2	71.1	172.9	172.9	144.7
2. Wage bill (cumulative)	132.3	132.3	35.0	35.0	34.6	73.0	73.0	73.0

C. Structural benchmarks	Date	Status
1. Adoption by the Government of a revised three-year public investment program (1994-96).	End-June 1994	See footnote 4
2. Limitation of overall wage increase to a maximum of 10 percent.	After March 31, 1994	Observed

1/ The program envisages that external budgetary assistance, including grants and debt rescheduling but excluding project aid, will amount, on a cumulative annual basis for 1994, to CFAF 134.8 billion at end-March, to CFAF 179.4 billion at end-June, to CFAF 234.0 billion at end-September, and to CFAF 297.7 billion at end-December. The ceilings will be adjusted downward by the amount of external budgetary assistance in excess of that programmed. In the event of a shortfall in external budgetary assistance, as defined above, the ceilings will be adjusted upward by the amount of the shortfall up to a limit of CFAF 10 billion for the first half of 1994. For end-March, the ceilings were adjusted in accordance with the provisions under the program, reflecting the excess in external budgetary assistance of CFAF 2.3 billion compared with the programmed amount; for end-June, the ceilings were adjusted upward by CFAF 10 billion to reflect an estimated shortfall of external budgetary assistance of CFAF 20.8 billion.

2/ Nonconcessional loans contracted or guaranteed by the Government with initial maturities of 1 through 15 years, excluding debt relief obtained in the form of rescheduling or refinancing.

3/ Short-term external debt contracted or guaranteed by the Government, with the exception of normal import-related credits and debt relief.

4/ A revised 1994 investment program will be adopted before end-July 1994 and a three-year public investment program (1995-97) will be adopted before end-1994.

Table V. Senegal: Government Financial Operations, 1992-97

	1992	1993	1994 Prog.	1994 Rev. prog.	1995	1996 Program	1997
			(In billions of CFA francs)				
Total revenue and grants	313.9	272.6	395.0	411.8	413.5	451.2	491.9
Revenue	293.4	255.9	365.0	327.1	383.5	421.2	461.9
Tax revenue	247.1	220.2	318.9	281.0	340.7	387.9	428.0
Nontax revenue	46.3	35.7	46.1	46.1	42.8	33.3	33.9
Grants	20.5	16.7	30.0	84.7	30.0	30.0	30.0
Total expenditure and net lending	354.1	319.8	449.7	428.0	450.1	466.7	467.8
Current expenditure	282.0	249.5	335.6	318.9	328.6	333.5	323.6
Wages and salaries	138.5 1/	132.3	149.0	149.0	160.0	160.0	160.0
Interest due	32.0	34.7	81.6	75.2	76.5	78.5	77.3
Of which: external 2/	(26.6)	(28.1)	(65.0)	(58.6)	(61.6)	(63.5)	(63.3)
Other current expenditure	111.5	82.5	105.0	94.7	92.1	95.0	86.4
Of which: social safety net	(--)	(--)	(15.0)	(15.0)	(10.0)	(10.0)	(--)
Capital expenditure	82.6	64.9	112.0	107.0	121.5	133.3	144.2
Budgetary	46.6	27.9	38.0	33.0	39.5	47.3	54.2
Extrabudgetary	36.0	37.0	74.0	74.0	82.0	86.0	90.0
Voluntary departure program	0.2	--	0.1	0.1	--	--	--
Treasury special accounts and correspondents net) 3/	10.7	-5.4	-2.0	-2.0	--	--	--
Overall fiscal balance (commitment basis)	-40.2	-47.2	-54.7	-16.2	-36.6	-15.5	24.0
Adjustment to cash basis	48.5	44.4	-206.2	-206.2	-15.0	--	--
Change in payments arrears	54.5	49.3	-206.2	-206.2	-15.0	--	--
Domestic arrears	27.1	12.0	-32.0	-32.0	-15.0	--	--
External arrears	27.4	37.3	-174.2	-174.2	--	--	--
Crop credit (repayment -)	-6.0	-4.9	--	--	--	--	--
Overall fiscal balance (cash basis)	8.3	-2.8	-260.9	-222.4	-51.6	15.5	24.0
Financing	-8.3	2.8	260.9	222.4	51.6	15.5	-24.0
External financing	23.4	8.6	-18.1	235.4	-22.7	-8.3	-3.1
Drawings	58.8	40.1	64.2	128.4	52.0	56.0	60.0
Treasury	14.9	0.1	--	64.1	--	--	--
Project loans	23.0	22.0	44.0	44.0	52.0	56.0	60.0
Other 4/	20.9	18.0	20.2	20.3	--	--	--
Amortization due 2/	-46.7	-41.4	-82.3	-82.2	-73.3	-72.8	-71.3
Debt relief 5/	11.3	9.9	--	169.6	18.2	8.5	8.2
Paris Club deferral	--	--	--	19.6	-19.6	--	--
Domestic financing	-31.7	-5.8	-18.7	-13.0	-17.3	-23.4	-20.9
Banking system 6/	-27.3	-17.0	-10.3	-4.6	-14.3	-19.8	-16.8
Repayment of ONCAD and consolidated debt	-5.5	-6.9	--	--	--	--	--
Nonbank borrowing	1.9	9.1	--	--	--	--	--
Other 7/	-0.8	9.0	-8.4	-8.4	-3.0	-3.6	-4.1
Borrowed funds of correspondents	--	--	--	--	--	--	--
Financing gap	--	--	297.7	--	91.6	47.2	--
			(In percent of GDP)				
Total revenue and grants	18.9	16.7	16.9	18.2	16.2	16.4	16.7
Of which: revenue	(17.7)	(15.7)	(15.7)	(14.4)	(15.0)	(15.3)	(15.7)
tax revenue	(14.9)	(13.5)	(13.7)	(12.4)	(13.3)	(14.1)	(14.5)
Total expenditure and net lending	21.3	19.6	19.3	18.9	17.6	17.0	15.9
Of which: current expenditure	(17.0)	(15.3)	(14.4)	(14.1)	(12.8)	(12.1)	(11.0)
capital expenditure	(5.0)	(4.0)	(4.8)	(4.7)	(4.8)	(4.9)	(4.9)
Overall fiscal balance							
Commitment basis, excluding grants	-3.7	-3.9	-3.6	-4.5	-2.6	-1.7	-0.2
Cash basis, excluding grants	-0.7	-1.2	-12.5	-13.6	-3.2	-1.7	-0.2
Memorandum items:							
			(In billions of CFA francs)				
Stock of domestic payments arrears (end of period data)	35.0	47.0	15.0	15.0	--	--	--
Gross domestic product	1,661.4	1,634.2	2,333.5	2,266.1	2,558.1	2,748.1	2,943.0

Sources: Data provided by the Senegalese authorities; and staff estimates.

1/ Includes CFAF 4.6 billion in nonbudgeted back payments of wages and salaries.

2/ The external debt service figures include all debt directly contracted by the Government and the part of the government-guaranteed debt serviced by the Government. For the projections, the latter is assumed to be 30 percent.

3/ *Deficits are added to expenditure, while surpluses are deducted. The Treasury's special accounts exclude* net repayments in the Debt Amortization Fund, National Energy Fund, and investment expenditures relating to the Fifth and Sixth Plans, which are shown separately.

4/ Amounts shown for 1992-94 include the three tranches of a loan from the African Development Bank for the financing of small- and medium-scale enterprise development.

5/ Includes debt rescheduling from the Paris Club and other official bilateral creditors, debt cancellation granted by France in early 1994, and commercial bank rescheduling of CFAF 22.7 billion requested in 1994.

6/ Includes counterparts of Fund purchases and repurchases, as well as those of loans under the structural and enhanced structural adjustment facilities; and starting in 1994, also includes repayments of ONCAD and consolidated debt, and crop credit.

7/ Includes errors and omissions.

Table VI. Senegal: Monetary Survey, 1992-97

	1992	1993 Act.	1993 Rev. 1/	1994 June Prel. est.	1994 Dec. Prog.	1995 June Program	1995 Dec. Program	1996 Program	1997 Program
	(In billions of CFA francs; end of period)								
Foreign assets (net)	-172.2	-202.9	-400.2	-295.2	-326.0	-266.0	-265.0	-218.0	-193.7
BCEAO	-154.0	-186.8	-365.1	-290.1	-290.9	-230.9	-229.9	-182.9	-158.6
Commercial banks	-18.2	-16.1	-35.1	-5.1	-35.1	-35.1	-35.1	-35.1	-35.1
Net domestic assets	575.4	557.9	655.0	665.7	712.3	751.3	734.6	755.8	785.3
Credit to the Government (net) 2/	290.2	264.9	362.0	371.8	357.4	365.7	341.1	319.3	300.5
Central Bank	315.7	299.6	396.7	404.3	408.1	418.0	420.3	418.7	384.9
Commercial banks	-26.5	-35.4	-35.4	-33.0	-51.4	-53.0	-79.9	-100.1	-85.1
Other	1.0	0.7	0.7	0.5	0.7	0.7	0.7	0.7	0.7
Credit to the economy	230.3	243.1	243.1	267.5	305.0	335.7	343.6	386.6	434.9
Crop credits	20.4	7.6	7.6	20.5	9.5	25.7	15.6	17.6	19.8
Other credits	209.9	235.5	235.5	247.0	295.5	310.0	328.0	369.0	415.1
Other items (net)	54.9	49.9	49.9	26.4	49.9	49.9	49.9	49.9	49.9
Medium- and long-term foreign assets	-18.3	-18.5	-32.4	-33.6	-32.4	-32.4	-32.4	-32.4	-32.4
Revaluation account	--	--	114.1	91.6	91.6	91.6	91.6	91.6	91.6
Money supply (M2)	384.9	336.5	336.5	428.5	445.5	544.5	528.8	597.0	650.8
	(Annual change in percent of beginning-of-period money stock)								
Foreign assets (net)	3.2	-8.0		31.2	22.1	13.5	13.7	8.9	4.1
BCEAO	1.5	-8.5		22.3	22.1	13.5	13.7	8.9	4.1
Commercial banks	1.7	0.5		8.9	--	--	--	--	--
Net domestic assets	0.6	-4.5		3.2	17.0	8.7	5.0	4.0	4.9
Credit to the Government (net) 2/	-8.2	-6.6		2.9	-1.4	1.9	-3.7	-4.1	-3.1
Central Bank	-2.4	-4.2		2.2	3.4	2.2	2.7	-0.3	-5.7
Commercial banks	-5.8	-2.3		0.7	-4.8	-0.4	-6.4	-3.8	2.5
Other	0.1	-0.1		-0.1	--	--	--	--	--
Credit to the economy	10.9	3.3		7.2	18.4	6.9	8.7	8.1	8.1
Crop credits	3.6	-3.3		3.8	0.6	3.6	1.4	0.4	0.4
Other credits	7.3	6.7		3.4	17.8	3.3	7.3	7.8	7.7
Other items (net)	-2.0	-1.3		-7.0	--	--	--	--	--
Money supply (M2)	3.6	-12.6		27.3	32.4	22.2	18.7	12.9	9.0

Sources: Data provided by the Senegalese authorities; and program projections.

1/ Accounts revalued at the new exchange rate of CFAF 100 per French franc.
2/ Starting in December 1991, restructured debt of commercial banks and ONCAD has been reclassified as part of credit to the Government.

Table VII. Senegal: Balance of Payments, 1992-98

(In billions of CFA francs, unless otherwise indicated)

	1992	1993	1994	1995	1996	1997	1998
				Program			Proj.
Trade balance	-98.4	-108.3	-141.1	-124.2	-125.4	-125.5	-125.9
Exports, f.o.b.	219.2	203.7	444.2	502.7	544.1	595.9	650.6
Of which: groundnut products	(17.3)	(13.4)	(49.1)	(43.9)	(39.7)	(44.4)	(49.3)
Imports, f.o.b.	-317.6	-312.0	-585.3	-626.9	-669.5	-721.3	-776.5
Of which: petroleum products	(-34.9)	(-30.9)	(-53.9)	(-63.2)	(-66.9)	(-70.9)	(-75.1)
Services (net)	-57.3	-56.4	-86.1	-82.6	-84.2	-84.4	-86.1
Credits	163.7	166.6	339.0	355.3	368.8	381.6	392.6
Debits	-220.9	-222.9	-425.1	-437.8	-453.0	-466.0	-478.7
Of which: interest due on public debt 1/	(-38.0)	(-38.7)	(-69.7)	(-71.5)	(-73.0)	(-72.2)	(-70.4)
Unrequited transfers (net)	83.8	79.3	203.9	153.0	157.9	163.0	168.3
Private (net)	9.7	11.4	24.0	25.7	27.0	28.5	29.9
Public (net)	74.1	67.9	179.9	127.3	130.9	134.6	138.4
Of which: gross official transfers	(83.1)	(76.9)	(197.9)	(145.7)	(149.6)	(153.7)	(157.9)
Current account balance (deficit -)	-71.9	-85.4	-23.3	-53.9	-51.7	-46.8	-43.7
Current account (excluding gross official transfers)	-155.0	-162.3	-221.2	-199.5	-201.3	-200.5	-201.5
Capital account	37.4	6.5	82.4	24.7	42.8	62.8	74.3
Public sector (net)	37.1	23.3	77.4	14.1	30.0	47.8	56.9
Drawings	78.9	64.3	162.9	90.0	104.0	120.0	130.0
Amortization due 1/	-41.7	-41.0	-85.5	-75.9	-74.0	-72.2	-73.1
Private sector (net)	-9.8	-15.3	5.0	10.6	12.8	15.1	17.4
Errors and omissions 2/	10.1	-1.5	--	--	--	--	--
Overall balance (deficit -)	-34.5	-78.9	59.1	-29.2	-8.8	16.0	30.6
Debt rescheduling 3/	12.5	9.9	154.0	8.7	...	...	...
Paris Club deferral	--	--	19.6	-19.6	--	--	--
Debt relief from debt cancellation 4/	--	--	15.7	9.5	8.5	8.2	7.9
Financing	22.0	69.0	-248.4	-61.0	-46.9	-24.2	-38.5
Net foreign assets (BCEAO)	-5.4	31.7	-74.2	-61.0	-46.9	-24.2	-38.5
Operations account and other	6.3	39.4	-96.6	-83.5	-55.8	-1.2	-1.4
Net use of Fund resources	-11.7	-7.7	22.4	22.5	8.9	-23.0	-37.1
Drawings	--	--	38.5	44.2	33.9	14.7	--
Repayments	-11.7	-7.7	-16.2	-21.6	-24.9	-37.7	-37.1
Payments arrears (reduction -)	27.4	37.3	-174.2	--	--	--	--
Financing gap	--	--	--	91.6	47.2	--	--
Memorandum items:							
Current account (in percent of GDP)							
Including gross official transfers	-4.3	-5.2	-1.0	-2.1	-1.9	-1.6	-1.4
Excluding gross official transfers	-9.3	-9.9	-9.8	-7.8	-7.3	-6.8	-6.4
Exchange rate (CFAF/SDR)	372.8	395.4	809.8	807.3	814.1	826.0	836.3

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ After debt forgiveness obtained through 1993.
2/ Including revaluation of BCEAO assets for 1991-93.
3/ Including debt rescheduling from the Paris Club and other official bilateral creditors, and commercial bank debt rescheduling of CFAF 22.7 billion requested in 1994.
4/ Based on the debt cancellation of CFAF 143.1 billion granted by France in early 1994.

Table VIII. Senegal: Balance of Payments, 1992-98

(In millions of SDRs, unless otherwise indicated)

	1992	1993	1994	1995	1996	1997	1998
				Program			Proj.
Trade balance	-264.0	-274.0	-174.2	-153.9	-154.0	-151.9	-150.6
Exports, f.o.b.	588.0	515.2	548.5	622.7	668.3	721.4	778.0
Of which: groundnut products	(46.5)	(33.8)	(60.7)	(54.4)	(48.8)	(53.7)	(59.0)
Imports, f.o.b.	-851.9	-789.2	-722.7	-776.6	-822.3	-873.3	-928.5
Of which: petroleum products	(-93.7)	(-78.1)	(-66.6)	(-78.2)	(-82.1)	(-85.9)	(-89.8)
Services (net)	-153.7	-142.6	-106.4	-102.3	-103.4	-102.2	-102.9
Credits	439.0	421.4	418.6	440.0	453.0	462.0	469.5
Debits	-592.7	-563.9	-525.0	-542.4	-556.4	-564.2	-572.4
Of which: interest due on public debt 1/	(-102.0)	(-97.9)	(-86.1)	(-88.5)	(-89.7)	(-87.4)	(-84.2)
Unrequited transfers (net)	224.8	200.6	251.8	189.5	194.0	197.4	201.2
Private (net)	26.0	28.8	29.6	31.8	33.2	34.4	35.8
Public (net)	198.8	171.7	222.2	157.7	160.8	162.9	165.5
Of which: gross official transfers	(222.9)	(194.5)	(244.4)	(180.4)	(183.8)	(186.1)	(188.8)
Current account balance (deficit -)	-192.9	-216.0	-28.8	-66.7	-63.4	-56.7	-52.2
Current account (excluding gross official transfers)	-415.8	-410.5	-273.2	-247.2	-247.2	-242.8	-241.0
Capital account	100.3	16.5	101.8	30.6	52.6	76.1	88.8
Public sector (net)	99.5	59.0	95.6	17.5	36.9	57.8	68.1
Drawings	211.5	162.6	201.2	111.5	127.7	145.3	155.5
Amortization due 1/	-112.0	-103.7	-105.5	-94.0	-90.9	-87.4	-87.4
Private sector (net)	-26.3	-38.7	6.2	13.1	15.7	18.2	20.8
Errors and omissions 2/	27.1	-3.8	--	--	--	--	--
Overall balance (deficit -)	-92.5	-199.5	73.0	-36.2	-10.8	19.4	36.6
Debt rescheduling 3/	33.6	25.0	100.2	10.7	...	...	...
Paris Club deferral	--	--	24.2	-24.2	--	--	--
Debt relief from debt cancellation 4/	--	--	19.4	11.8	10.4	9.9	9.5
Financing	58.9	174.5	-306.8	-75.6	-57.6	-29.3	-46.1
Net foreign assets (BCEAO)	-14.6	80.1	-91.7	-75.6	-57.6	-29.3	-46.1
Operations account and other	16.9	99.7	-119.3	-103.4	-68.6	-1.5	-1.7
Net use of Fund resources	-31.5	-19.5	27.6	27.9	11.0	-27.8	-44.4
Drawings	--	--	47.6	54.7	41.6	17.8	--
Repayments	-31.5	-19.5	-19.9	-26.8	-30.6	-45.6	-44.4
Payments arrears (reduction -)	73.5	94.4	-215.1	--	--	--	--
Financing gap	--	--	--	113.5	58.0	--	--
Memorandum items:							
Current account (in percent of GDP)							
Including gross official transfers	-4.3	-5.2	-1.0	-2.1	-1.9	-1.6	-1.4
Excluding gross official transfers	-9.3	-9.9	-9.8	-7.8	-7.3	-6.8	-6.4
Exchange rate (CFAF/SDR)	372.8	395.4	809.8	807.3	814.1	826.0	836.3

Sources: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ After debt forgiveness obtained through 1993.
2/ Including revaluation of BCEAO assets for 1991-93.
3/ Including debt rescheduling from the Paris Club and other official bilateral creditors, and commercial bank debt rescheduling of SDR 28.0 million requested in 1994.
4/ Based on the debt cancellation of SDR 176.7 million granted by France in early 1994.

Table IX. Senegal: External Debt and Scheduled Debt Service, 1993-97 1/

(In billions of CFA francs)

	End-1993		1994			1995			1996			1997		
	Debt outstanding 2/	Of which: arrears 3/	Prin.	Int.	Total	Prin.	Int.	Total	Prin.	Int.	Total	Prin.	Int.	Total
Public sector external debt	2,020.1	174.2	101.6	69.7	171.3	97.5	71.5	169.0	98.9	73.0	171.9	109.9	72.2	182.1
Debt outstanding as of end-1993	2,020.1	174.2	101.6	64.7	166.3	97.5	60.2	157.7	98.9	57.7	156.6	109.9	54.2	164.1
Medium- and long-term debt	1,936.8	174.2	101.6	57.4	159.0	97.5	53.8	151.4	98.9	51.8	150.7	109.9	49.1	159.0
Multilateral creditors	1,161.9	23.6	45.2	22.4	67.7	51.9	21.0	72.9	55.3	20.2	75.5	71.0	18.8	89.8
of which: IMF	144.0	--	16.2	3.2	19.4	21.6	2.9	24.5	24.9	2.9	27.9	37.7	2.9	40.6
Paris Club post-cutoff-date debt	251.9	32.7	10.2	6.3	16.5	10.5	5.6	16.2	9.0	5.2	14.2	10.1	4.8	14.9
Paris Club pre-cutoff-date debt	334.8	82.4	26.6	18.9	45.5	15.6	17.0	32.6	14.1	15.6	29.7	10.9	14.4	25.3
Pre-cutoff date debt not previously rescheduled	...	11.6	6.2	1.2	7.4	3.5	0.8	4.3	2.0	0.4	2.5	1.0	0.3	1.3
Previously rescheduled debt on nonconcessional terms	...	44.7	20.4	6.0	26.4	12.1	4.4	16.5	12.1	3.3	15.4	7.6	2.3	9.9
Previously rescheduled debt on concessional terms	...	26.1	--	11.8	11.8	--	11.8	11.8	--	11.8	11.8	2.3	11.8	14.1
Other official bilateral creditors	161.4	12.9	15.9	6.7	22.6	16.1	7.4	23.4	17.0	8.3	25.2	14.6	8.8	23.5
Private creditors	26.8	22.6	3.6	3.1	6.7	3.5	2.8	6.3	3.5	2.5	6.1	3.2	2.3	5.5
Short-term debt	83.3	--	--	7.3	7.3	--	6.4	6.4	--	5.9	5.9	--	5.1	5.1
Debt service on new financing 4/	--	--	--	0.6	0.6	--	2.4	2.4	--	3.8	3.8	--	4.5	4.5
Multilateral creditors	--	--	--	0.2	0.2	--	0.7	0.7	--	1.1	1.1	--	1.5	1.5
Paris Club creditors	--	--	--	0.4	0.4	--	1.7	1.7	--	2.7	2.7	--	3.0	3.0
Other official bilateral creditors	--	--	--	--	--	--	--	--	--	--	--	--	--	--
Private creditors	--	--	--	--	--	--	--	--	--	--	--	--	--	--
Debt service on gap financing 5/	--	--	--	4.4	4.4	--	8.9	8.9	--	11.6	11.6	--	13.5	13.5
Private sector external debt	...	...	...	...	...	...	...	...	...	...	...	...	...	...

Source: Data provided by the Senegalese authorities; and staff estimates and projections.

1/ Debt and debt service data computed at the exchange rate of F 1 = CFAF 100; scheduled debt service is before ODA debt cancellation granted by France in 1994.
2/ Includes both principal and interest arrears.
3/ Includes late interest accrued as of end-1993.
4/ Includes debt service on disbursements after January 1, 1994, excluding gap financing.
5/ Includes debt service on expected exceptional financing.

Table X. Senegal: Indicators of Fund Credit and Debt Servicing, 1993-2007

(In percent)

	1993	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
		Program				Projections									
Outstanding Fund credit/Quota 1/	149.6	172.8	196.2	205.5	182.1	144.7	124.7	110.3	90.6	70.1	48.1	26.1	9.5	1.5	--
Outstanding Fund credit/GDP 1/	4.3	7.3	7.4	7.2	6.1	4.6	3.8	3.1	2.4	1.8	1.1	0.6	0.2	--	--
Outstanding Fund credit 2/	18.1	20.2	21.0	20.8	17.5	13.2	10.9	9.2	7.2	5.3	3.5	1.8	0.6	0.1	--
Gross Fund financing/Financing needs 3/	--	10.3	20.8	17.2	8.1	--	--	--	--	--	--	--	--	--	--
Debt service to the Fund 2/	2.3	2.4	2.7	2.9	4.0	3.6	1.9	1.3	1.7	1.6	1.7	1.5	1.1	0.5	0.1
Debt service to the Fund/Total debt service 4/	10.4	12.4	15.4	17.1	23.3	22.8	13.5	9.6	12.5	13.1	13.2	12.1	8.9	4.1	0.7
Total debt service ratio before rescheduling 2/ 4/	22.5	18.9	17.7	17.1	17.0	15.9	14.1	13.8	13.4	12.6	12.6	12.5	12.3	12.2	12.1
Debt rescheduling 2/	2.5	6.9	1.0	--	--	--	--	--	--	--	--	--	--	--	--
Total debt service ratio after rescheduling 2/ 4/	20.0	12.0	16.7	17.1	17.0	15.9	14.1	13.8	13.4	12.6	12.6	12.5	12.3	12.2	12.1
Memorandum items:															
Exports of goods, services, and gross private transfers (in millions of SDRs)	984	1,015	1,113	1,173	1,237	1,302	1,358	1,425	1,496	1,571	1,650	1,734	1,821	1,912	2,007

Sources: IMF, Treasurer's Department; data provided by the Senegalese authorities; and staff estimates and projections.

1/ Outstanding Fund credit includes SAF/ESAF loans and outstanding purchases.
2/ In percent of exports of goods, services, and gross private transfers.
3/ Financing needs are defined to include current account deficit, amortization due, repurchases and repayments to the Fund, planned improvements in reserves, and reduction in external arrears.
4/ Total debt service is after ODA debt cancellation granted by France in 1994.

SENEGAL

Enhanced Structural Adjustment Facility:
Three-Year and First Annual Arrangements

Attached hereto is a letter, dated July 1, 1994, with annexed memorandum on the economic and financial policies of the Government of Senegal from the Minister of the Economy, Finance, and Planning of Senegal, requesting from the International Monetary Fund a three-year arrangement under the enhanced structural adjustment facility, and the first annual arrangement thereunder, and setting forth

(i) the objectives and policies of the program to be supported by the three-year arrangement; and

(ii) the objectives and policies of the program to be supported by the first annual arrangement.

To support these objectives and policies, the Fund grants the requested arrangements in accordance with the following provisions, and subject to the Instrument to Establish the Enhanced Structural Adjustment Facility Trust:

1. (a) For a period of three years from ...., 1994, Senegal will have the right to obtain loans from the Fund under the enhanced structural adjustment facility, in a total amount equivalent to SDR 130.79 million, subject to the availability of resources in the Enhanced Structural Adjustment Facility Trust.

(b) The amount of the first annual arrangement will be the equivalent of SDR 47.56 million; the amount of the second annual arrangement will be the equivalent of SDR 47.56 million; and the amount of the third annual arrangement will be the equivalent of SDR 35.67 million.

(c) Under the first annual arrangement:

(i) the first loan, in an amount equivalent to SDR 16.65 million, will be available on ..., 1994 at the request of Senegal; and

(ii) the second loan, in an amount equivalent to SDR 30.91 million, will be available on March 15, 1995 at the request of Senegal, subject to paragraph 2 below.

2. Senegal will not request disbursement of the second loan specified in paragraph 1(c)(ii) above:

(a) if the Managing Director finds that the data as of December 31, 1994 indicate that

(i) the limit on the cumulative change in net credit to the Central Government by the banking system, or

(ii) the limit on the cumulative change in net domestic assets of the banking system, or

(iii) the minimum reduction in the stock of the Government's verified domestic payments arrears specified in paragraph 11 of the annexed memorandum, or

(iv) the minimum reduction in external payments arrears specified in paragraph 11 of the annexed memorandum, or

(v) the zero limit on nonconcessional loans with a maturity range between 1 and 15 years contracted or guaranteed by the Central Government, or

(vi) the zero limit on short-term credits contracted or guaranteed by the Central Government, other than normal import credits

described in paragraph 31 of the annexed memorandum and specified in Table 2 attached thereto, are not observed; or

(b) if Senegal has not carried out its intentions with respect to:

(i) the adoption of a 1995 budget that is in conformity with the objectives of the program, or

(ii) the liberalization of administered prices and imports of cooking oils, by end-December 1994,

as described respectively in paragraphs 11, 18, and 19 of the annexed memorandum and specified in Table 2 attached thereto; or

(c) if Senegal has

(i) imposed or intensified restrictions on payments and transfers for current international transactions; or

(ii) introduced or modified multiple currency practices; or

(iii) concluded bilateral payments agreements that are inconsistent with Article VIII; or

(iv) imposed or intensified import restrictions for balance of payments reasons; or

(v) at any time prior to the completion of the midterm review provided for in (d) below, accumulated any new external payments arrears; or

(d) until the Fund has determined that the midterm review of Senegal's program referred to in paragraph 6 of the attached letter and in paragraph 31 of the annexed memorandum has been completed.

If the Managing Director finds that any of the performance clauses that have been established in or under this paragraph 2 have not been met, the second loan specified in paragraph 1(c)(ii) above may be made available only after consultation has taken place between the Fund and Senegal, and understandings have been reached regarding the circumstances in which Senegal may request that second loan.

3. Before approving the second annual arrangement, the Fund will appraise the progress of Senegal in implementing the policies and reaching the objectives of the program supported by the first annual arrangement, taking into account primarily:

(a) the indicators referred to in paragraphs 11, 18, 19, and 31 of the memorandum and Table 2 attached thereto;

(b) imposition or intensification of restrictions on payments and transfers for current international transactions;

(c) introduction or modification of multiple currency practices;

(d) conclusion of bilateral payments agreements which are inconsistent with Article VIII; and

(e) imposition or intensification of import restrictions for balance of payments reasons.

4. In accordance with paragraph 4 of the attached letter, Senegal will provide the Fund with such information as the Fund requests in connection with the progress of Senegal in implementing the policies and reaching the objectives supported by these arrangements.

5. In accordance with paragraph 5 of the attached letter, during the period of the first annual arrangement, Senegal will consult with the Managing Director on the adoption of any measures that may be appropriate at the initiative of the Government or whenever the Managing Director requests such a consultation. Moreover, after the period of the first annual arrangement and while Senegal has outstanding financial obligations to the Fund arising from loans under the arrangement, Senegal will consult with the Fund from time to time, at the initiative of the Government or whenever the Managing Director requests consultation on Senegal's economic and financial

policies. These consultations may include correspondence and visits of officials of the Fund to Senegal or of representatives of Senegal to the Fund.

TRANSLATION

Dakar, July 1, 1994

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Mr. Camdessus:

1. On March 2, 1994, the Executive Board of the International Monetary Fund approved a one-year stand-by arrangement for Senegal in support of the 1994 adjustment program that Senegal put in place after the devaluation of the CFA franc. As initially envisaged, the Government of Senegal has adopted a medium-term macroeconomic and structural adjustment program, covering the period July 1, 1994-June 30, 1997, which aims to re-establish a sustained economic growth and to ensure the return to financial viability, starting in 1997. The objectives of this three-year adjustment program are presented in the medium-term policy framework paper, which the Senegalese authorities prepared in collaboration with the staffs of the Fund and the World Bank and is being transmitted to you separately today.

2. In support of this medium-term program, the Government of Senegal requests from the International Monetary Fund a three-year arrangement under the enhanced structural adjustment facility (ESAF) in an amount equivalent to SDR 130.8 million (110 percent of quota), and the first arrangement thereunder in an amount equivalent to SDR 47.6 million (40 percent of quota). Concurrently, the Government of Senegal requests that the stand-by arrangement approved on March 2, 1994 be canceled and replaced by an ESAF arrangement, with effect from the date of approval of the latter by the Executive Board of the International Monetary Fund.

3. The attached memorandum on Senegal's economic and financial policies, which is based on the above-mentioned policy framework paper, describes the goals and policies that the Government of Senegal intends to pursue in the next three years, as well as the objectives and policies for the first-year program covering the period July 1994-June 1995.

4. The Government of Senegal will provide the Fund with any information it may request regarding the progress achieved by Senegal in the implementation of its economic and financial policies and in the attainment of the objectives of the program.

5. The Government believes that the policies and measures described in the attached memorandum are adequate to achieve the objectives of the program, but will take any other measures that may become appropriate for this purpose. During the period of the first annual ESAF arrangement, the Government of Senegal will consult with the Managing Director concerning the adoption of appropriate measures, at the initiative of the Government or at the request of the Managing Director. In addition, after the period of the first annual ESAF arrangement, and while Senegal continues to have outstanding financial obligations to the Fund resulting from loans made under this ESAF arrangement, the Government of Senegal will consult with the Fund from time to time about its economic and financial policies, at the initiative of the Government or whenever the Managing Director requests such consultation.

6. In any event, the Fund will conduct with the Government of Senegal a midterm review under the first annual ESAF arrangement to be completed not later than March 31, 1995, in order to assess progress in implementation of Senegal's adjustment program.

Sincerely yours,

/ s /

Papa Ousmane Sakho
Minister of Economy, Finance, and Planning

Attachment: Memorandum on Economic and Financial Policies for 1994/95.

SENEGAL

Memorandum on Economic and Financial Policies for 1994/95

July 1, 1994

I. Introduction

1. During the 1980s, Senegal carried out a series of economic and financial adjustment programs supported by the International Monetary Fund, the World Bank, and other multilateral and bilateral creditors. The macroeconomic policies followed and the structural reforms undertaken as part of these programs contributed to reducing financial imbalances and made it possible to make progress toward liberalization of the Senegalese economy. Despite these results, the rate of economic growth remained subdued, and significant financial difficulties and structural weaknesses persisted.

2. In late 1993 Senegal was confronted by a very difficult economic and financial situation, which was characterized in terms of public finances by an overall fiscal deficit approaching 4 percent of GDP, outstanding external and domestic arrears totaling CFAF 134 billion (8 percent of GDP), and an external current account deficit equivalent to almost 10 percent of GDP. 1/ The adoption in late August 1993 of a series of internal measures, including inter alia wage cuts in the civil service, as well as increases in import taxes and in the prices of certain petroleum products, made it possible nonetheless to limit the scope of the financial disequilibria.

3. Faced with the significant deterioration in the economic situation in 1993, the Senegalese authorities decided in early 1994 to adopt a comprehensive medium-term adjustment strategy in order to restore sustained economic growth and to ensure the return to financial viability, starting in 1997. This strategy has three major components: a 50 percent devaluation of the CFA franc; a restrictive demand policy; and a strengthening of structural reforms. Within the framework of this strategy, the authorities have adopted an adjustment program for 1994, supported by a one-year stand-by arrangement from the Fund, as well as by financial assistance from the World Bank and other multilateral and bilateral creditors.

4. To strengthen their medium-term adjustment strategy, the authorities had expressed their interest, at the time the program for 1994 was designed,

---

1/ A more detailed analysis of economic developments in 1991-93 is set forth in the memorandum on economic and financial policies for 1994, dated January 22, 1994.

in replacing as soon as possible the stand-by arrangement with the Fund by a three-year arrangement under the enhanced structural adjustment facility (ESAF). Accordingly, the Government of Senegal has requested that the Fund cancel the stand-by arrangement currently in force and replace it by a three-year ESAF arrangement covering the period July 1994-June 1997, in a total amount equivalent to SDR 130.8 million (110 percent of quota), and the first annual arrangement thereunder, in an amount equivalent to SDR 47.6 million (40 percent of quota). The program to be supported by the first annual arrangement covers the period July 1, 1994-June 30, 1995 and spans fiscal years 1994 and 1995. Senegal is also anticipating that its adjustment efforts during this period will be supported by the World Bank, as well as financial assistance from multilateral and bilateral sources, including in particular a multiyear rescheduling of its debt.

II. Economic Developments During the First Half of 1994

5. Soon after the devaluation of the CFA franc, the Senegalese authorities implemented a package of measures designed to ensure achievement of the 1994 program targets. In particular, as early as January 1994, the planned increases in producer and consumer prices were implemented. A prudent incomes policy has also been adopted, and the agreements signed with unions representing the civil service and the private sector limited wage increases to less than 10 percent on average beginning April 1, 1994, as anticipated in the program. In the tax area, the envisaged reductions of import duties and indirect taxes were also implemented. All benchmarks and performance criteria for end-March 1994 were observed (attached Table 1), and the cumulative increase in the consumer price index was contained at 26 percent during the first four months following the devaluation. A reflow of private capital was observed in the balance of payments, and encouraging signs of recovery have been noted in the export and tourism sectors.

6. However, less favorable developments and difficulties have been recorded in a number of areas, particularly since last April. First, the "wait and see" attitude in the private sector and among most importers has not permitted a strong economic recovery so far, except in the above-mentioned sectors. Second, imports contracted more rapidly than expected and their composition had changed during the months following the devaluation, which contributed to sizable shortfalls in terms of customs receipts during the second quarter of the year. Third, the rapid increase in deposits at commercial banks, reflecting a reflow of private capital, was not accompanied by an increase in credit to the economy, resulting in the accumulation of large excess liquidity in the banking sector. Finally, delays were recorded in finalizing the agreements with the World Bank on sectoral loans, which led to a postponement in expected disbursements. These delays, combined with shortfalls in tax receipts, contributed to the accumulation of new external payments arrears in the second quarter of 1994. Thus, despite efforts already in place to contain fiscal spending, it would have been difficult to meet all the performance criteria for end-June 1994. Moreover, total fiscal revenues are now estimated to amount to CFAF 144.7 billion in the first half of 1994, compared with CFAF 172.9 billion forecast

initially. The authorities are aware, however, of the need to preserve as much as possible the initial objectives of the program for the year as a whole. To this end, they have decided to adopt a series of additional measures described below, which are intended to correct the slippages already observed and to safeguard the integrity of the program.

III. Medium-Term Strategy and Program for 1994/95

7. Senegal's comprehensive medium-term adjustment strategy is based both on an intensification of structural reforms, which are aimed at enhancing the incentives to the private sector and at improving the management of public resources, and on a policy of financial restraint intended to reduce the public sector's absorption and to free the resources needed for increased investment and employment in the private sector. This strategy should not only lead to an improvement in the living standards and living conditions of the population as a whole, but also to a reduction in poverty. The macroeconomic objectives for 1994-97 are as follows: 1/ to achieve an average annual economic growth rate of 4.5-5 percent starting in 1995; to limit the rate of inflation, as measured by the GDP deflator, to 35 percent in 1994, and to return by 1996 to a rate of 2-3 percent, which prevailed in the years prior to the devaluation; and to reduce the deficit of the external current account (excluding public transfers) to 6.8 percent of GDP in 1997, a level compatible with a viable external position. The balance of payments position in 1994-97 should benefit from significant amounts of external financing associated with the implementation of development projects and provided in support of the structural reforms. After covering the financing gaps, the external inflows should contribute to a progressive strengthening of Senegal's net foreign assets position.

8. To achieve these objectives, the medium-term program calls for: improvement of public finances and pursuit of a prudent credit policy; continued liberalization of prices and the regulatory framework; accelerated reforms in the agricultural sector; strengthened restructuring of the public enterprises; and improvement in the management of public resources. Implementation of the program will also be reflected in a change in the structure of public expenditure, made possible by a reduction in the wage bill in relative terms and by the pursuit of the civil service reform. The budget appropriations devoted to spending on health, primary education, and investment should therefore rise appreciably. As regards the increase in credit to the private sector, it should be facilitated by the improvement in the fiscal position and the planned reduction in the Central Government's indebtedness to the banking system. Furthermore, the recent adoption of new monetary policy instruments in the framework of the West African Monetary Union (WAMU), the enhanced effectiveness of banking supervision, and the

---

1/ The macroeconomic and structural policies put in place under the program are described in detail in the economic and financial policy framework paper.

maintenance of a flexible interest rate policy should contribute to a strengthening of the conduct of monetary policy.

9. Within this general framework, the economic and financial policy objectives for 1994 and 1995 are as follows: to achieve a real GDP growth rate of 2.4 percent in 1994 and 4.7 percent in 1995; to limit the rate of inflation, as measured by the GDP deflator, to 35 percent in 1994 and then to 8 percent in 1995; and to contain the external current account deficit (excluding public transfers) at 9.8 percent of GDP in 1994 before lowering it to 7.8 percent in 1995. It is expected that export receipts (in SDR terms) should increase by 6.5 percent in 1994 and 13.5 percent in 1995, as a result of an upturn in export volumes of groundnuts, fish, and phosphates, as well as to moderate export price increases. Following a decline of about 8 percent in 1994, essentially attributable to the contraction of demand resulting from the price hikes and to the impact of restrictive fiscal and monetary policies, imports are expected to increase by 7.5 percent in 1995. After rescheduling and coverage of financing requirements, net foreign assets of the banking system are projected to improve by about SDR 92 million (CFAF 74 billion) in 1994 and SDR 75 million (CFAF 61 billion) in 1995.

10. The strengthened adjustment strategy adopted by the Government aims at increasing the standard of living of the population and reducing poverty. This strategy should also lead to increases in the incomes of the rural population following the rise in producer prices, and in those of workers in the sectors producing internationally tradable goods, including workers in the informal sector. In addition, the recovery in economic activity expected from enhanced competitiveness and increased investment should create new productive jobs and benefit all social groups in the medium term. In the short term, however, as anticipated, the exchange rate adjustment has had a negative effect on part of the population. In order to minimize this impact and to protect the poorest, the Government has introduced accompanying measures intended to attenuate the price increases of certain basic staples, improve the availability of basic social services in the areas of health and education, and directly assist certain particularly vulnerable groups. 1/

A. Macroeconomic policies

11. The Government will strengthen revenue performance and will limit expenditure in order to gradually achieve a viable budgetary position. To compensate in part for the revenue shortfall registered in the course of the second quarter of 1994, the Government will take all measures necessary to increase revenue and to effect savings in expenditure. These measures will be reflected in a supplementary budget that will be adopted by the Government before end-July 1994. In addition to the measures described in the memorandum attached to the letter of intent dated January 22, 1994, the Government has adopted additional measures to ensure that the overall

---

1/ Social aspects of the adjustment program are discussed in more detail in the PFP (paragraphs 31-35).

deficit of central government financial operations, on a commitment basis and excluding grants, is limited to CFAF 100.9 billion (4.5 percent of GDP) in 1994, and then reduced to CFAF 66.6 billion (2.6 percent of GDP) in 1995, despite the impact of the exchange rate adjustment on government spending in foreign exchange. As envisaged in the original program, external payments arrears, which at the new exchange rate totaled CFAF 174.2 billion at end-December 1993, as well as all new arrears accumulated since April 1994, will be eliminated by end-1994. Verified outstanding domestic arrears, which totaled CFAF 47 billion at end-December 1993, will be reduced by at least CFAF 32 billion by end-1994. The Government will improve its net position vis-à-vis the banking system by CFAF 4.6 billion in 1994 and by CFAF 14.3 billion in 1995. The budget deficit on a cash basis and the reduction of net domestic liabilities are expected to be financed in their entirety by external financial assistance, including debt rescheduling. Before end-December 1994, the Government will adopt a budget for 1995 that is consistent with the program's objectives.

12. In order to monitor developments under the program, quarterly targets set for fiscal receipts and the wage bill have been established as benchmarks. Any shortfall in receipts or excess in the wage bill will be offset by corrective measures in order to meet the program's objectives in the fiscal area. Furthermore, if export prices for groundnuts and cotton, which constitute two of the main export products, fall below the projected level in the program, the fiscal impact will be offset by supplementary revenue-enhancing or expenditure-reducing measures.

13. Largely because of the lower-than-initially projected level of imports and somewhat weaker economic activity, total revenue is now expected to amount to CFAF 327.1 billion only in 1994, compared with CFAF 365 billion initially projected, but would nevertheless increase by about 28 percent from 1993. Moreover, total revenue is expected to increase by 17 percent in 1995. In addition to the impact of the devaluation, it is expected that the measures adopted during the second half of 1993 and in early 1994, as well as those recently adopted, will allow the revised levels of receipts to be attained. The measures already implemented during the second half of 1993 and in early 1994 include, inter alia, the simplification of the customs tariff and the value-added tax (VAT), as a step toward the harmonization of domestic and customs taxation in the context of economic integration of the member countries of the WAMU; the reduction in exemptions; and the widening of the VAT base. Nevertheless, the need for a durable improvement in government revenue makes it necessary to widen the tax base further, in particular through the incorporation of the informal sector, the strengthening of tax collection, and the fight against tax fraud. Moreover, such a widening will be accompanied by a simplification and rationalization of the tax system. A study on the modalities of using a single registration system for enterprises, which would allow for a better inventory of enterprises and a widening of the tax base through an update of the tax-payers registry, will be completed by end-November 1994. In addition, while the harmonization of domestic taxation and tariff regulations is proceeding, actions will be undertaken with a view to replacing quantitative restrictions and prior import authorizations with duties and taxes of a

temporary nature. Moreover, the collection of income tax arrears will be accelerated and a system will be put in place to ensure that the VAT on services provided to public entities is withheld by the latter for direct payment to the Treasury. In addition, several administrative measures will be implemented as early as July 1994 to improve customs administration. These measures include a reorganization of the customs department, through the establishment of a more efficient administrative structure, particularly at the regional level; a re-examination of the legal documents specifying exemptions, with a view to reducing their scope; sufficient appropriations in personnel and materials for the unit in charge of customs investigations; the elimination of notional bonded warehousing on traders' premises, together with the creation of public bonded warehouses; the continued strict implementation of fines and penalties in case of customs fraud; and the strengthening of controls at the Port of Dakar and the full implementation of the customs regulations at the Dakar airport, including the prohibition, effective since the beginning of 1994, of customs clearing without proper documentation. The Government intends to monitor closely revenue developments, particularly with respect to VAT and customs duties and, if needed, will promptly take supplementary corrective measures.

14. To strictly limit the deviation from the original objective regarding the fiscal deficit, the Government has also decided to take steps to effect savings on some budgetary expenditure levels planned for the second half of the year. These savings will be effected particularly on transfers and other nonpriority current outlays. Interest on public debt as well as the level of investment will also be lower than initially projected. Accordingly, total expenditure will be reduced in 1994 from the original level of CFAF 450 billion to CFAF 428 billion. To ensure the attainment of this revised level, the authorities have already decided to freeze nonpriority expenditure during the third quarter of the year. For 1995, total expenditure will be reduced by 5 percent from the originally estimated levels, to CFAF 450 billion. The wage bill will be limited to CFAF 149 billion in 1994 and to CFAF 160 billion in 1995. To achieve these objectives, the number of civil servants will be maintained at its end-December 1993 level (67,100) by not engaging in net recruitment, including the regularization of pending cases. These objectives take into account the cancellation of the average salary reduction of 15 percent decided in August 1993 and the average salary increase of 10 percent effective April 1994. The indemnities and the other variable components of the wage bill will remain unchanged. Moreover, the rappels (financial impact of promotions for which payment orders have not been issued yet) will be identified and verified in order to establish before end-1994 a timetable for their regularization. The cost of this action will be kept within the above-mentioned wage bill. Export subsidies have been eliminated, and transfers to public enterprises, especially operating subsidies, will be reduced. Other current outlays will increase moderately, taking into account the impact of price increases and the necessary rise in some social spending. Expenditure planned in the context of the social safety net (CFAF 15 billion in 1994 and CFAF 10 billion in 1995) will be maintained. Moreover, the deficit of the special accounts will be reduced to CFAF 2 billion in 1994 and eliminated in 1995. The accounts of the Treasury's correspondents will

be balanced in 1994 and 1995. These objectives will be achieved notably through an improvement of the financial situation of the Fonds National de Retraite (FNR) and of the Institution de Prévoyance Sociale et de Retraite du Sénégal (IPRES), which is implementing its rehabilitation plan initiated in 1992. Under the program for 1994, capital expenditure will amount to CFAF 107 billion, with priority given to infrastructure and the rural sector. By end-December 1994, in consultation with the World Bank, the Government will adopt a revised three-year public investment program for 1995-97, which will give priority to high-return projects in the productive sectors.

15. Improved management of public resources will be achieved by strengthening budgeting procedures, adapting better mechanisms for selecting and executing investment projects financed by public funds, and stepping up the reform of the civil service. The process of programming and monitoring of public investments will be significantly strengthened so that these investments fully play their role in the resumption of sustained economic activity. Greater importance will be accorded to the critical analysis of projects so as to limit, among other things, the number of projects with weak rates of return. The ongoing reform of the civil service will be accelerated, in order to increase the efficiency of the administration and to ease the burden borne by the Central Government in this area. An audit of the payroll file of the civil service will be undertaken starting in July 1994, on the basis of the terms of reference adopted in early 1994. This audit aims at counting the number of civil servants, identifying those civil servants in irregular situations, and verifying the appropriateness of payments being made. The recommendations of this audit will be implemented before end-1994. Progress in this area will be assessed at the time of the midterm review of the program.

16. The rehabilitation of public finances will be accompanied by the implementation of a prudent credit policy, in conformity with the objectives set in terms of economic growth, inflation, and balance of payments. The rate of growth of the monetary supply is projected to be at about 32 percent in 1994 and 19 percent in 1995. Implementation of monetary policy will continue to take place within the context of the reform of the monetary instruments undertaken by the monetary authorities of WAMU since 1989 and accelerated since October 1993. In particular, in October 1993 a more flexible interest rate policy was introduced and the administrative control was replaced with indirect monetary instruments, including the introduction of a system of reserve requirements, and the widening of the role of the money market. Moreover, effective early July 1994, the securitization of the consolidated debt assumed by the Government in the context of the restructuring of the banking system, at an interest rate of 5 percent a year, will be implemented. This will facilitate a mopping up of part of the excess liquidity of commercial banks. This would help banks to reduce their margins and respond more efficiently to the justified demands for credit in conformity with prudential banking standards. Furthermore, in view of the stabilization of inflation in the last two months, the monetary authorities have decided to reduce the discount rate by 2.5 points to 12 percent, as well as the taux de pension by 2.5 points to 10.25 percent, as of June 27,

1994. The authorities will also continue to pursue a flexible interest rate policy. Furthermore, the rehabilitation of the banking system will be continued, particularly through the recapitalization of the agricultural bank (Caisse nationale de crédit agricole du Sénégal) before end-1994, and the establishment of local savings and loan banks during the period 1994-96.

B. Structural policies

a. Regulatory framework and private sector development 1/

17. The relaxation of the regulatory framework and the liberalization of pricing policies are essential components of the authorities' reform strategy. The Government's policy in this area will consist in eliminating as much as possible any impediments to the development of private initiative. The focus will be on the diversification of industrial production and the creation of new enterprises, inter alia by identifying and eliminating obstacles to the creation of small and medium-sized enterprises that could play a key role in developing local production and in creating jobs. In this context, efforts will be made to modernize labor legislation. A draft law aimed at permitting enterprises to freely adjust their work force to the needs of their economic activity will be adopted before end-December 1994. Furthermore, the decree of February 20, 1970 establishing the monopoly position of the Office of Port Manpower (BMOP) will be repealed in July 1994.

18. The liberalization of prices will continue in 1994/95. The prices under the approval system (homologation) will be all liberalized, except in the cases of bread, locally produced drugs, butane, and the tariffs for transport-related services. Accordingly, the price of tomato paste will be liberalized in September 1994, those of cooking oils (not produced or distributed by the local industry) by December 1994, and that of wheat flour by November 1995. The prices of soap, milk, concrete iron, soft drinks, instant coffee, and yeast, which were frozen after the devaluation, were liberalized in June 1994. As for administered prices, that of fresh tomatoes will be liberalized by September 1994, those of other cooking oils (other than groundnut oil) by December 1994, and that of rice by June 1995. In addition, the prices of sugar and cement will be freely determined in the context of the revision of the special agreements relating to those products. Only the prices of petroleum products and charcoal; the tariffs for electricity, water, transportation, and telecommunications; and the fees for medical and health services will continue to be set administratively. The prices for water, electricity, telecommunications, and transportation will also have to reflect, inter alia, the effects of productivity gains and cost reductions resulting from improvements in management of government monopolies and all other measures affecting price levels. While taking account of the above-mentioned elements, the Government is committed to full-cost recovery in determining prices of public services. Petroleum

---

1/ A more detailed presentation is contained in the PFP (paragraphs 15-20).

prices will be automatically reviewed on a quarterly basis, to take into account fluctuations in world prices and to ensure the attainment of the tax receipt objectives. For producer prices, that of paddy was liberalized in early June, and that of cotton is already determined by a committee representing the farmers, the marketing agencies, and the Government, taking into account international prices. The price of groundnuts is to be determined in a similar manner for the 1994/95 harvest. All other producer prices are freely determined in the market.

19. All remaining prior authorizations for imports and exports will be eliminated in accordance with the following timetable, except for public health and security reasons, the import authorizations for gold and silver bars and second-hand clothing, as well as export authorizations of precious metals and minerals and groundnuts. For imports, 7 of the 17 products or groups of products subject to the system of prior authorization were liberalized in June 1994. 1/ Imports of five other products will be liberalized as follows: tomato paste and polypropylene bags in September 1994; cement, in the context of the renegotiation of the relevant special agreement in November 1994; vegetable oils in December 1994; and wheat flour in November 1995. Prior authorizations for exports for cereal, confectionery groundnuts, fresh tomatoes, and jewelry were eliminated in June 1994 and those for tomato concentrate will be eliminated in September 1994. Furthermore, to improve the competitive environment, the Government will have concluded before end-November 1994 the renegotiations of general special agreements (conventions spéciales) and protocols (protocoles d'accord) 2/ between the Government and a number of companies that grant them, in particular, a certain degree of protection or tax advantages. In addition, in order to contribute to the promotion of exports, the monopoly of COSENAM in maritime transportation, and the COSEC levy on export products and on imports of inputs used in the manufacturing of exported goods were abolished in June 1994.

20. A particular effort will be made to simplify current administrative procedures, in order to facilitate the realization of investment and the creation of enterprises indispensable to the growth of the private sector. A study on the introduction of legal incentives to replace the special arrangements and simplify investment procedures will also be completed before end-November 1994. The above measures, along with the change of parity, should have a positive impact on the industrial sector and tourism. The Government has also introduced other administrative reforms and granted

---

1/ These are: (i) certain cereals (buckwheat, millet, alpist, sorghum, and gari); (ii) gold jewelry and other jewelry; (iii) newspapers and documentaries; (iv) kola nuts; (v) jute bags; (vi) pre-recorded tapes; and (vii) mineral and chemical fertilizers.

2/ Those with SOCOCIM : Société de commercialisation du ciment; SENSAC : Sénégalaise du sac; SOCOSAC : Société de commercialisation du sac; ICS : Industries chimiques du Sénégal; ICOTAF : Industrie cotonnière africaine; SOTEXKA : Société des textiles de Kaolack; SODEFITEX : Société pour le développement des fibres textiles; and SAR : Société africaine de raffinage.

tax relief in order to promote further the tourism sector, including eliminating entry visas for the nationals of certain European countries traveling in groups, and organizing direct service to tourism areas.

b. Agricultural and fisheries policies

21. In keeping with the policy of liberalization in the agricultural sector, the sale of the Société nationale de commercialisation des oléagineux du Sénégal (SONACOS) to the private sector should be initiated in January 1995 and the rice industry will be entirely restructured by end-February 1996. The role of the Société d'aménagement et d'exploitation des terres du Delta (SAED) will be mainly limited to carrying out a number of public service missions, notably the running of hydro-agricultural works, the managing of irrigation facilities, and the maintaining of major roads. In June 1994, sales of this company's rice mills were completed, and the Caisse de péréquation et de stabilisation des prix (CPSP) withdrew from the purchase and distribution of local rice. By February 1995, it will abandon all activities in the distribution of imported rice and will close down its regional stores, except those in Dakar. The latter will be closed by June 1995 at the latest. By that date, the wholesale price of rice will also be liberalized. CPSP's withdrawal from all rice import activity will become effective by February 1996. In the meantime, imports of broken rice will be made progressively by the private sector. The restructuring of the Société de développement des fibres textiles (SODEFITEX) will be continued in the context of its March 1992 plan aimed at reducing its costs and restoring its financial equilibrium in a lasting manner.

22. The livestock and the horticulture sectors will also receive special attention so as to enable them to maximize their potential contribution to improving the trade balance and enhancing economic activity. By end-December 1994 quality standards for horticultural products aimed at facilitating the promotion of exports will be developed. One important aspect of the promotion of the agricultural sector will consist in strengthening the development of rural credit and the promotion of local credit unions. As regards the fishing industry, an action plan based on a comprehensive study of the sector is currently being prepared. The plan will focus on developing Senegal's natural resources in this sector by according, inter alia, a larger role to private investment. While consolidating this sector's competitiveness and developing industrial production, the action plan will also ensure the protection and rational management of fish resources.

c. Restructuring of public enterprises

23. The reform of public enterprises will be accelerated. In addition to the four enterprises in the agricultural sector referred to above, which

will be privatized or restructured, the privatization of 12 enterprises 1/ will be undertaken or continued and a number of others will be restructured. Three enterprises for which preparatory work for their privatization is sufficiently advanced (SSPT, SS-Saly, and SPHU-Teranga) could be sold before end-June 1995. With regard to SSPT, bids presented by foreign and domestic investors are now being reviewed. The assets of SS-Saly, currently managed by a foreign private group, should be sold in the context of the liquidation of this company, for which the decree has been signed. With regard to the SPHU-Teranga, an offer to purchase it has been received from a foreign hotel group but it is considered insufficient. Arrangements for the rapid finalization of the privatization of certain enterprises, whose financial situation is seriously hampered or whose activity is in sectors from which the Government is withdrawing, is particularly desirable. This is the case, inter alia, of SONADIS, SONATRA, SICAP, and Dakar-Marine.

24. With regard to the restructuring of SENELEC, an audit report will be completed by July 31, 1994 and will serve as a starting point for a performance contract covering the period 1995-97. In the meantime, an emergency action plan for 1994 is being implemented. The main orientation of the plan is to re-establish the financial equilibrium of this company, while improving the quality of the services that it provides. This will be achieved for the most part through a containment of internal production costs and of general expenses. Thus, wage costs is being contained by reducing the amount of overtime and stabilizing the work force. Moreover, the decentralization of the collection of fees in the urban zone of Dakar, and the creation of a specialized unit for this purpose, should help ensure the attainment of a collection rate close to 100 percent on current sales and a 12 percent reduction in unpaid bills. With regard to SONEES, the ongoing restructuring process should lead to the split of this company into two separate entities, one in charge of managing the assets and the other in charge of operations. A report on the modalities for this operation will be made available during July 1994 and implemented immediately.

25. In addition, the process of designing, implementing, and monitoring the performance contracts for public enterprises will be strengthened and the legal and institutional framework of the public enterprises reforms will be modified. The efforts already initiated by the Government will help reduce the burden that the public enterprises place on the central government budget, in particular through a reduction in operating subsidies and an improvement in the allocation and use of resources made available to them.

1/ Société sénégalaise des phosphates de Thiès (SSPT), Société Hôtelière de Saly (SS-Saly), Société propriétaire de l'hôtel de l'union (SPHU-Teranga), Dakar-Marine, Société nouvelle pour l'approvisionnement et la distribution du Sénégal (SONADIS), Société nationale des transports aériens (SONATRA), Société immobilière du Cap-Vert (SICAP), Société du domaine industriel de Dakar (SODIPA), Société nationale d'étude de promotion industrielle (SONEPI), Société industrielle d'aménagement du Sénégal (SIAS), Manufacture sénégalaise des arts décoratifs (MSAD), and Agence sénégalaise pour l'assurance du commerce extérieur (ASACE).

Furthermore, the cross-debts of the public sector will continue to be settled between now and end-1995, in accordance with the previously established timetable.

IV. External Sector and Financing Requirements

26. In accordance with the budgetary objectives of the program mentioned in paragraph 11 above, and after taking into account drawings of project aid already obtained, the financing requirements for 1994 and 1995 will be covered by financial assistance from multilateral institutions and bilateral creditors, and by debt rescheduling operations. For the period July 1994-June 1995 covered by the first annual ESAF program, the needed financing totals CFAF 191.3 billion (SDR 236.2 million), broken down as follows: CFAF 55.3 billion in loans from multilateral institutions (World Bank and AfDB); CFAF 18.9 billion in grants from the European Union; CFAF 34.5 billion in official bilateral assistance; CFAF 9.4 billion in the form of debt reduction by France; and CFAF 73.2 billion as debt rescheduling from Paris Club and private creditors. The Paris Club creditors granted Senegal debt rescheduling in March 1994. Progress has been made in processing Senegal's request for an IDA-financed commercial bank debt reduction operation, which is being actively considered by the World Bank. For calendar year 1995, the full coverage of the financing need will require assistance from multilateral institutions and bilateral creditors as well as further debt relief after the expiration of the current Paris Club consolidation period at end-March 1995; the Government has approached Paris Club creditors for a multiyear rescheduling. The situation with regard to the financing assurances for the whole of 1995 will be examined during the review of the program envisaged during the first annual arrangement under the ESAF. In order to ensure the success of the program, the Government is counting on the timely deployment of exceptional external assistance.

27. The Government will continue to pursue a cautious policy as regards the management of the external debt with a view to easing the debt service burden. In 1994 and 1995 it will neither contract nor guarantee any external nonconcessional loans with maturities of less than 1 year, or of between 1 and 15 years, with the exception of debt rescheduling or refinancing agreements or normal short-term import credits. The Government will service its debt in a timely manner and will not accumulate any new external payments arrears; all external payments arrears will be settled before end-December 1994.

28. During the program period, the Government does not intend to introduce or intensify any exchange restrictions, introduce or modify any multiple currency practices, conclude any bilateral payments agreements that are inconsistent with Article VIII of the IMF's Articles of Agreement, or introduce or intensify import restrictions for balance of payments reasons. Moreover, it plans to take the requisite steps so as to be able to accept the obligations of the Article VIII as soon as possible. Travel allowance limits are administered in a nonrestrictive manner, and all bona fide requests in excess of the ceilings are granted. In view of the concern

about the risk of capital flight and the use of the CFA franc for illegal external transactions, the authorities do not intend to resume soon the repurchase of CFA franc bank notes circulating outside the UMOA area, which has been suspended since August 2, 1993 in accordance with the regulations of the BCEAO.

29. The Government of Senegal actively participates in all the initiatives and work aimed at promoting economic integration within the West African Economic and Monetary Union, for which the treaty signed on January 10, 1994 had already been ratified by four out of seven zone countries at end-May 1994, including Senegal. Actions contemplated will be, inter alia, on the surveillance of the domestic macroeconomic policies, the convergence of fiscal policies, the implementation of the customs union, and the creation of a regional financial market.

V. Prior Actions, Performance Criteria, and Benchmarks

30. As prior actions, the Government has taken the following measures in June 1994: (a) liberalization of the producer price of paddy and the prices of six goods and services, as stated in paragraph 18; (b) liberalization of imports of seven products or group of products and of exports of four products, as described in paragraph 19; (c) a freeze on nonessential budgetary expenditure commitments until September 1994; and (d) before end-July 1994 the Government will abolish the decree establishing a monopoly of the Office of Port Manpower on hiring personnel at the ports and will adopt a supplementary budget consistent with the revised objectives of the program.

31. Implementation of the program supported by the first annual ESAF arrangement will be monitored by the performance criteria and benchmarks set forth in the attached Table 2. The quantitative performance criteria for end-December 1994 will comprise (a) a ceiling on the cumulative change in the net domestic assets of the banking system; (b) a ceiling on the cumulative change in net bank credit to the Central Government; (c) a minimum reduction of the Government's stock of verified domestic payments arrears; (d) the elimination of external payments arrears; and (e) a zero ceiling on the contracting or guaranteeing by the Central Government of nonconcessional external loans with maturities in the range of 1-15 years, and a zero ceiling on the contracting or guaranteeing by the Central Government of short-term credits (excluding normal import credits). These variables will also serve as financial benchmarks for end-September 1994, end-March 1995, and end-June 1995. The nonaccumulation of new external payments arrears and the standard clause pertaining to the exchange and payments system will also constitute performance criteria. Quarterly targets on cumulative government revenue and the wage bill will serve as benchmarks. The following two variables will also constitute structural performance criteria for end-December 1994: (a) the liberalization of imports and administered prices of cooking oil as described in paragraph 18 and specified in the attached Table 2; and (b) the adoption of a 1995 budget that is in conformity with the objectives of the program. Other structural

benchmarks are presented in Table 2. Completion of the midterm review by end-March 1995 will constitute a condition for the disbursement of the second loan under the first annual ESAF arrangement.

Table 1. Senegal: Performance Criteria and Benchmarks Under the Stand-By Arrangement, 1994

	Amounts at end-1993		Changes from January 1, 1994 to end-1994			
			March			June
	F 1 = CFAF 50	F 1 = CFAF 100	Prog.	Adj. prog. 1/	Act.	Prog.
A. Financial performance criteria			(In billions of CFA francs)			
1. Credit to the Central Government (net) 1/	264.9	362.0	7.2	4.9	-7.5	--
2. Net domestic assets of the banking system 1/	557.9	655.0	51.1	48.8	-19.2	52.1
3. Payments arrears of the Central Government and public entities						
Domestic	47.0	47.0	-6.0	-6.0	-6.5	-15.0
External	87.1	174.2	-104.2	-104.2	-105.4	-116.3
4. New external borrowing contracted or guaranteed by the Central Government on nonconcessional terms	--	--	--	--	--	--
Between 1 and 15 years 2/	--	--	--	--	--	--
Short-term (less than 1 year) 3/						
B. Financial benchmarks						
1. Total government revenue (cumulative)	255.9	255.9	69.2	69.2	71.1	172.9
2. Wage bill (cumulative)	132.3	132.3	35.0	35.0	34.6	73.0

C. Structural benchmarks	Date	Status
1. Adoption by the Government of a revised three-year public investment program (1994-96).	End-June 1994	n.a.
2. Limitation of overall wage increase to a maximum of 10 percent.	After March 31, 1994	Observed

1/ The program envisages that external budgetary assistance, including grants and debt rescheduling but excluding project aid, will amount, on a cumulative annual basis for 1994, to CFAF 134.8 billion at end-March, to CFAF 179.4 billion at end-June, to CFAF 234.0 billion at end-September, and to CFAF 297.7 billion at end-December. The ceilings will be adjusted downward by the amount of external budgetary assistance in excess of that programmed. In the event of a shortfall in external budgetary assistance, as defined above, the ceilings will be adjusted upward by the amount of the shortfall up to a limit of CFAF 10 billion for the first half of 1994. For end-March, the ceilings were adjusted in accordance with the provisions under the program, reflecting the excess in external budgetary assistance of CFAF 2.3 billion compared with the programmed amount.

2/ Nonconcessional loans contracted or guaranteed by the Government with initial maturities of 1 through 15 years, excluding debt relief obtained in the form of rescheduling or refinancing.

3/ Short-term external debt contracted or guaranteed by the Government, with the exception of normal import-related credits and debt relief.

Table 2. Senegal: Quantitative and Structural Performance Criteria and Benchmarks Under the First Annual Arrangement Under the Enhanced Structural Adjustment Facility, July 1994-June 1995

	Amount at end-Dec. 1993	Change from January 1, 1994 to end-1994				Change from Jan. 1, 1995 to end-1995	
	Actual 1/	March Act.	June Est.	Sept. Bench-marks	Dec. Perf. crit.	March Benchmarks	June Benchmarks
A. Financial performance criteria		(In billions of CFA francs)					
1. Credit to the Central Government (net) 2/	362.0	-7.5	9.8	10.0	-4.6	14.0	8.3
2. Net domestic assets of the banking system 2/	655.0	-19.2	10.7	40.6	57.3	28.8	39.0
3. Payments arrears of the Central Government and public entities							
Domestic	47.0	-6.5	-15.5	-19.0	-32.0	-5.0	-10.0
External	174.2	-105.4	-92.3	-116.3	-174.2	--	--
4. New external borrowing contracted or guaranteed by the Central Government on nonconcessional terms							
Between 1 and 15 years 3/	--	--	--	--	--	--	--
Short-term (less than 1 year) 4/	--	--	--	--	--	--	--
B. Financial benchmarks							
1. Total government revenue (cumulative)	255.9	71.1	144.7	223.1	327.1	79.3	180.3
2. Wage bill (cumulative)	132.3	34.6	73.0	110.8	149.0	40.0	80.0
C. Structural performance criteria		Date					
1. Liberalization of imports and administered price of cooking oils		End-December 1994					
2. Adoption of a 1995 budget compatible with the program objectives		End-December 1994					
D. Structural benchmarks							
1. Adoption of a three-year public investment program for the period 1995-1997		End-December 1994					
2. Adopt a draft law aimed at permitting enterprises to freely adjust their work force to the level of their economic activity		End-December 1994					
3. Offer for sale of SONACOS to the private sector		End-January 1995					
4. Eliminate administered wholesale prices for rice		End-June 1995					

Source: Memorandum on Economic and Financial Policies for 1994/95.

1/ Valued at the exchange rate of F 1 = CFAF 100.
2/ The program envisages that external budgetary assistance, including grants and debt rescheduling but excluding project aid, will amount, on a cumulative basis since January 1, 1994, to CFAF 213.2 billion at end-September 1994, and CFAF 308.1 billion at end-December 1994; and on a cumulative basis since January 1, 1995, to CFAF 18.2 billion at end-March 1995, and CFAF 41.9 billion at end-June 1995. The ceilings will be adjusted downward by the amount of external budgetary assistance in excess of that programmed, net of any amount used to accelerate the reduction of payments arrears of the Central Government. In the event of a shortfall in external budgetary assistance, as defined above, the ceilings will be adjusted upward by the amount of the shortfall up to a limit of CFAF 20 billion in 1994, and CFAF 10 billion in the first half of 1995.
3/ Nonconcessional loans contracted or guaranteed by the Government with initial maturity of 1-15 years, excluding debt relief obtained in the form of rescheduling or refinancing.
4/ Short-term external debt contracted or guaranteed by the Government, with the exception of normal import-related credits and debt relief.

Senegal - Relations with the Fund

(As of June 30, 1994)

I. Membership Status: Joined August 31, 1962; Article XIV

II. General Resources Account:	SDR million	Percent of quota
Quota	118.90	100.0
Fund holdings of currency	149.33	125.6
Reserve position in the Fund	1.10	0.9

III. SDR Department:	SDR million	Percent of allocation
Net cumulative allocation	24.46	100.0
Holdings	0.88	3.6

IV. Outstanding Purchases and Loans:	SDR million	Percent of quota
Stand-by arrangements	31.54	26.5
SAF arrangements	26.39	22.2
ESAF arrangements	141.69	119.2

V. Financial Arrangements:

Type	Approval date	Expiration date	Amount approved (SDR million)	Amount drawn (SDR million)
Stand-by	March 2, 1994	March 1, 1995	47.56	30.91
ESAF	November 21, 1988	June 2, 1992	144.67	144.67
Stand-by	October 26, 1987	October 25, 1988	21.28	21.28

VI. Projected Obligations to the Fund (SDR million; based on existing use of resources and present holdings of SDRs):

	Overdue	Forthcoming				
	06/30/94	1994	1995	1996	1997	1998
Principal	--	10.8	26.8	30.6	45.6	44.4
Charges/interest	--	1.7	3.2	3.1	2.8	1.9
Total	--	12.6	30.0	33.7	48.4	46.3

Senegal - Relations with the Fund (concluded)

(As of June 30, 1994)

VII. Exchange Rate Arrangement

Senegal is a member of the West African Monetary Union. The exchange system, common to all members of the Union, has been free of restrictions on the making of payments and transfers for current international transactions. 1/ The Union's common currency, the CFA franc, had been pegged to the French franc at the rate of CFAF 1 = F 0.02. Effective January 12, 1994, the CFA franc was devalued and the new parity set at CFAF 1 = F 0.01. On June 30, 1994, the rate of the CFA franc in terms of the SDR was SDR 1 = CFAF 792.19.

VIII. Article IV Consultations

Senegal is on the standard 12-month Article IV consultation cycle. The 1994 Article IV consultation was completed by the Executive Board on March 2, 1994 (EBS/94/11, Supplement 1, and SM/94/46).

IX. Technical Assistance

Department	Type of Assistance	Time of Delivery	Purpose
FAD	Resident expert	June 1986-November 1989	Tax advisor
FAD	Staff/member of fiscal panel	March 1988	Budgeting and treasury accounting
FAD	Staff/two members of fiscal panel/ World Bank consultant	February 1989	Fiscal reform and taxation of petroleum products
FAD	Resident expert	November 1991-January 1994	Reform of customs administration
STA	Staff	July 1992	Compilation of balance of payments
FAD	Headquarters-based consultant	December 1993	Harmonization of indirect taxation in the WAMU.

X. Resident Representative

Stationed in Dakar since July 24, 1984.

1/ The staff is keeping under active review all developments in Senegal's exchange system that may involve Fund jurisdiction.

Senegal - Relations with the World Bank Group

(As of May 31, 1994)

Commentary on lending operations

1. Bank assistance strategy in Senegal is guided by four basic objectives: (i) promoting competitiveness and establishing the basis for self-sustained growth; (ii) supporting human resource development and sustainable management of natural resources; (iii) reducing poverty; and (iv) improving management capacity in the public sector. The vehicles to support these objectives have been adjustment lending buttressed by appropriate technical assistance operations and sector-based rehabilitation/investment projects.

2. As of May 31, 1994, the World Bank Group had approved 102 operations in Senegal for a total amount committed, less cancellations, of US$1,289.29 million, consisting of 70 IDA credits (including 3 special fund credits and two SFA), 20 Bank loans, and 12 IFC operations. Past projects supported agricultural diversification, institutional development, and expansion of the country's infrastructure, particularly its transport system. In recent years, emphasis has shifted to better utilization and maintenance of existing facilities, and on helping the Government resolve some of the key issues related to long-term development prospects. Ongoing or planned operations for agricultural extension and research, health, education, and transport sector reforms relate to both of these concerns.

3. The World Bank Group has committed $25.3 million thus far in fiscal year 1994. Although no new operations are planned to be delivered to the Board before end-June 1994, it is expected that fiscal year 1995 will see a substantial increase in commitment levels over recent years. Moreover, the Bank's lending program is projected to expand over the three-year period 1994/95-1996/97. Expected operations include investment operations in agriculture and urban infrastructure, and adjustment lending to deepen policy reforms and to support private sector development.

Senegal - Relations with the World Bank Group (concluded)
(As of May 31, 1994; in millions of U.S. dollars)

Lending operations	IBRD and IDA 1/ Total commitments	IBRD and IDA 1/ Of which: undisbursed	IFC loans/equity and investment participations 2/ Total commitments	IFC loans/equity and investment participations 2/ Of which: undisbursed	Grand total
Twenty loans and credits fully disbursed	835.49	(--)	--	(--)	835.49
Structural adjustment and technical assistance	42.00	(6.99)	--	(--)	42.00
Agriculture, livestock, and forestry	85.30	(29.10)	8.74	(--)	94.04
Energy, industry, and tourism	33.00	(19.76)	47.76	(1.01)	80.76
Transport, equipment, and telecommunications	65.00	(48.45)	--	(--)	65.00
Urban development, education, and health	172.00	(120.24)	--	(--)	172.00
Total	1,232.79	(224.54)	56.50	(1.01)	1,289.29
Less: repaid or sold					169.42
Total outstanding					1,119.87
Held by IBRD					35.89
IDA					1,072.86
IFC					11.12

Memorandum items:

Annual IBRD/IDA operations 3/	Commitments	Disbursements	Repayments
1985	24.0	26.8	5.4
1986	116.4	78.3	9.9
1987	97.0	95.4	10.3
1988	129.6	138.9	10.8
1989	21.6	48.8	11.0
1990	185.0	93.1	11.6
1991	107.1	61.4	19.6
1992	43.7	100.8	13.1
1993	40.0	53.9	12.0
1994 4/	25.0	58.8	14.5

Source: World Bank Group.

1/ Excludes cancellations.
2/ IFC figures as of April 30, 1994; includes cancellations and terminations.
3/ During fiscal year ending June 30.
4/ 1994 fiscal year to May 31, 1994.